Introduction to Business (MGT211)

Dr. Rizwan Saleem

Human Journey from Stone Age to the Age of AI

- 2.5 million BCE – Stone Age
- → Use of tools, fire, early hunter-gatherer societies
- 10,000 BCE – Neolithic Revolution
- → Agriculture, permanent settlements, domestication of animals
- 3,000 BCE – Early Civilizations
- → Mesopotamia, Egypt, Indus Valley, China
- → Invention of writing, early trade and barter systems

Human Journey from Stone Age to the Age of AI

- 1,000 BCE – Iron Age
- → Metal tools, expansion of trade routes, coinage introduced

- 500 BCE–500 CE – Classical Era
- → Greek, Roman, Indian, and Chinese empires
- → Philosophies, taxation, early markets, legal systems

- 500–1500 CE – Medieval Era
- → Feudalism, guilds, caravan trade, Islamic Golden Age
- → First banks and merchant institutions

Human Journey from Stone Age to the Age of AI

- 1500–1700 CE – Age of Exploration
- → Global maritime trade, colonial empires, mercantilism
- → Rise of global business networks

- 1750–1900 CE – Industrial Revolution
- → Steam power, mechanized production, railways
- → Rise of factories and urban business centers

Human Journey from Stone Age to the Age of AI

- 1900–1950 – Modern Business & Capitalism
- → Assembly lines, corporate management, World Wars
- → Rise of consumer economy, stock markets

Human Journey from Stone Age to the Age of AI

- 1950–2000 – Information Age
- → Computers, internet, globalized economy
- → Services dominate, outsourcing, e-commerce begins

Human Journey from Stone Age to the Age of AI

- 2000–2020 – Digital Transformation
- → Smartphones, social media, cloud computing
- → Gig economy, digital marketing, fintech

- 2020–Present – Age of Artificial Intelligence
- → AI in business, automation, machine learning, big data
- → Ethical debates, smart systems, human-AI collaboration

Human Journey from Stone Age to the Age of AI

- Future – Conscious Tech & Bio-Digital Fusion?
- → Brain-computer interfaces, quantum computing, post-work society?

Trade in Ancient Civilizations

- Mesopotamia (modern Iraq)
- One of the first civilizations to develop writing (cuneiform) for recording trade transactions.

- Traded wool, grain, pottery, and textiles for metals, wood, and precious stones.

- Developed early banking practices using clay tablets and temple-based storage.

- Merchants used ox-drawn carts and river transport to reach cities like Ur and Babylon.

Trade in Ancient Civilizations

- Ancient Egypt
- Nile River enabled domestic and foreign trade.

- Exported grain, linen, and papyrus; imported gold, ebony, ivory, and incense from Nubia and Punt.

- Pharaohs controlled large-scale state trade.

- Used grain as currency and had detailed accounting systems managed by scribes.

Trade in Ancient Civilizations

- Indus Valley Civilization (modern Pakistan/India)
- Major cities like Harappa and Mohenjo-daro had advanced trade infrastructure (granaries, docks, standardized weights).

- Traded beads, seals, cotton textiles, and metals with Mesopotamia and Central Asia.

- Seals found in Mesopotamia show evidence of long-distance trade.

- Sophisticated urban planning supported organized commercial life.

Trade in Ancient Civilizations

- Ancient China
- Early dynasties traded silk, jade, tea, and ceramics.

- The Silk Road became a major international trade route linking China to Central Asia, the Middle East, and Europe.

- Developed early forms of currency: cowry shells and later bronze coins.

- The concept of trust and reputation (known as "xin") became a key ethical pillar in business dealings.

Ancient Business Practices

- Barter System
- The barter system is the oldest form of trade, where goods and services were exchanged directly without using money.
- Example:A farmer might exchange grain with a potter in return for clay pots.
- Features:
- Simple and direct
- Based on mutual need
- No standard measure of value
- Difficult to store wealth or conduct large-scale trade

Ancient Business Practices

- Limitations:
- Double coincidence of wants: Both parties had to want what the other had.
- Lack of common value: No fixed pricing system.
- Difficulty in division: Hard to divide some goods fairly (e.g., how to trade half a cow?).
- Relevance:
- While primitive, barter was the first step toward more complex commercial systems and eventually led to the invention of money.

Ancient Business Practices

- Role of Markets and Bazaars
- Markets (open spaces for regular trade) and bazaars (more permanent, organized marketplaces) were crucial centers for local and regional exchange.
- Functions:
- Enabled daily trade of food, tools, cloth, and other necessities.
- Created a place for price discovery, negotiation, and value exchange.
- Fostered social interaction, spreading news, culture, and ideas.
- Facilitated credit arrangements and early partnerships.

Ancient Business Practices

- Examples:
- The Agora in ancient Greece: both a market and a civic center.
- Khan el-Khalili in Cairo (established later, but reflective of ancient trading styles).
- Central Asian caravanserais: offered services for traders along trade routes.
- Business Practices in Bazaars:
- Verbal contracts and trust-based trade
- Use of scales and standard weights
- The role of brokers and middlemen
- Reputation and personal relationships mattered more than written agreements

Industrial Revolutions

1760-2030

1. First Industrial Revolution (1760–1840)

- **Core Innovation:** Mechanization, steam power, and textiles.
  Key Developments:
- **Steam Engine** (James Watt, 1775) → Powered factories and railroads.
- **Textile Industry** (Spinning Jenny, Power Loom) → Mass-produced clothing.
- **Iron Production** (Bessemer process later improved steel).
  Impact:
- Shift from agrarian economies to urban factories.
- Rise of capitalism and wage labor.
  Case Example:
- **British Cotton Mills** (e.g., Manchester’s "Cottonopolis") dominated global trade.
-

2. Second Industrial Revolution (1870–1914)

- **Core Innovation:** Electricity, mass production, and heavy industry.
  Key Developments:
- **Electricity** (Edison, Tesla) → Lit cities and powered machines.
- **Assembly Line** (Henry Ford, 1913) → Affordable cars (Model T).
- **Telegraph/Telephone** → Faster communication.
  Impact:
- Birth of modern corporations (e.g., Standard Oil, U.S. Steel).
- Globalization (steamships, railroads).
  Case Example:
- **Ford's Highland Park Plant** reduced car assembly time from 12 hrs to 93 mins.

3. Third Industrial Revolution (1960s–2000s)

- **Core Innovation:** Digital technology, automation, and computers.
  Key Developments:
- **Computers & Internet** (1970s–90s) → ERP systems, e-commerce.
- **Robotics** → Automated manufacturing (e.g., Toyota's plants).
- **Renewable Energy** (Early solar/wind tech).
  Impact:
- Outsourcing and supply chain globalization.
- Rise of knowledge workers.
  Case Example:
- **Amazon** (1994) leveraged the internet to disrupt retail.

4. Fourth Industrial Revolution (2010s–Present)

- **Core Innovation:** AI, IoT, and smart systems.
  Key Developments:
- **Artificial Intelligence** (ChatGPT, autonomous robots).
- **Internet of Things (IoT)** → Smart factories (Industry 4.0).
- **Blockchain** → Secure, decentralized transactions.
  Impact:
- Hyper-personalization (e.g., Netflix's AI recommendations).
- Ethical debates (job displacement, data privacy).
  Case Example:
- **Tesla's Gigafactories** use AI-driven robotics to produce EVs at scale.

Emerging: Fifth Industrial Revolution (2030s–Future?)

- **Predicted Innovations:**
- **Human-Machine Collaboration** (Cobots = collaborative robots).
- **Bioengineering** (Lab-grown meat, CRISPR).
- **Quantum Computing** → Solving complex problems in seconds.
  Potential Impact:
- Sustainability focus (circular economy).
- Ethical AI and "conscious capitalism."
  Hypothetical Example:
- **Neuralink** (Elon Musk) merging human brains with AI.

Books to Remember on History of Business

- 1. A Brief History of Entrepreneurship by Joe Carlen
- 2. The Silk Roads: A New History of the World by Peter Frankopan
- 3. Empire of Cotton: A Global History Book by Sven Beckert
- 4. Sapiens: A Brief History of Humankind Book by Yuval Noah Harari
- 5. Early Islam and the Birth of Capitalism Book by Benedikt Koehler

Defining Business

- An economic activity undertaken to fulfill the needs of the society within the legal boundaries for earning profit.

- **Business** An organization that strives for a profit by providing goods and services desired by its customers.

What is the Nature of Business?

- 1.Economic Activity
- 2.Deals in Goods and Services
- 3.Creates Utility
- 4.Profit Motive
- 5.Risk of Loss
- 6.Series of Deals
- 7. Legal Activity

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Module 02

Scope of Business

- **1. Primary Sector – Extraction of Natural Resources**
- This level involves directly using natural resources from the earth.
- **Examples:**
- Farming
- Fishing
- Forestry
- Mining
- Oil extraction

Scope of Business

- **2. Secondary Sector – Manufacturing and Processing**
- This sector involves turning raw materials into finished or semi-finished goods.
- **Examples:**
- Construction
- Textile production
- Food processing
- Automobile manufacturing
- Steel production

Scope of Business

- **3. Tertiary Sector – Services**
- This level focuses on providing services rather than goods.
- **Examples:**
- Retail and sales
- Education
- Healthcare
- Transportation
- Banking and finance
- Tourism

Scope of Business

- **4. Quaternary Sector – Knowledge and Information**
- This includes intellectual services that involve research, innovation, and technology.
- **Examples:**
- Scientific research
- IT services
- Data analysis
- Software development
- Education and consulting at high levels

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Module 03

Scope of Business

- Scope of business includes both **industry** and **Commerce**
- **Industry** is about manufacturing, construction, extraction and genetics
- While
- **Commerce** includes Trade and Aid to Trade

Scope of Business

- Trade: Buying & Selling
- Home Trade VS Foreign Trade
- Aids to Trade: Agents, Transportation, Warehousing, Banking, Insurance, Communication, Advertising etc.

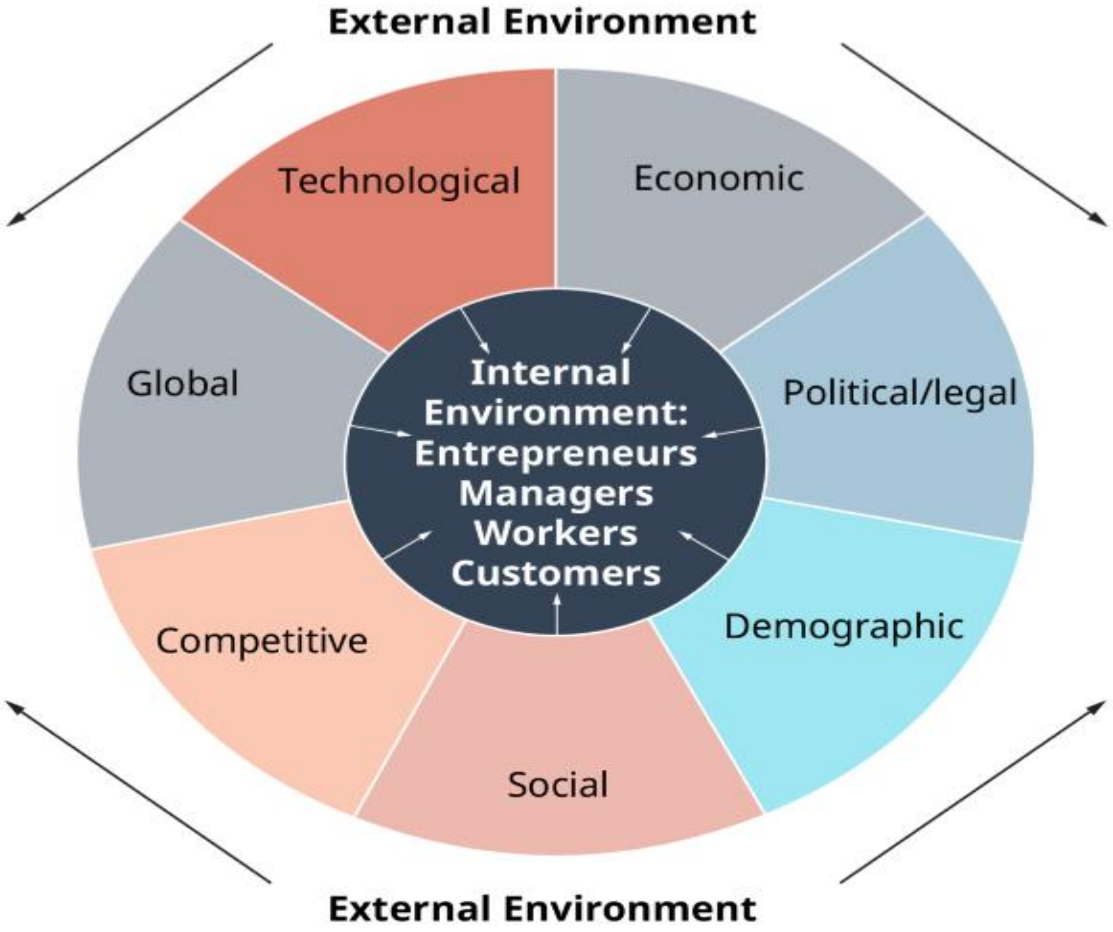
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Module 04

Understanding the Business Environment

- Businesses do not operate in a vacuum but rather in a dynamic environment that has a direct influence on how they operate and whether they will achieve their objectives.

Understanding the Business Enviro



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Module 05

How Business and Economics Work?

- **Economics** is the study of how a society uses scarce resources to produce and distribute goods and services.
- The resources of a person, a firm, or a nation are limited.
- Hence, economics is the study of choices—what people, firms, or nations choose from among the available resources.

How Business and Economics Work?

- **Economic system** is the combination of policies, laws, and choices made by a government/state/society to establish the systems that determine what goods and services are produced and how they are allocated.

The Basic Economic Systems

The Basic Economic Systems of the World				
	Capitalism	Communism	Socialism	Mixed Economy
Ownership of Business	Businesses are privately owned with minimal government ownership or interference.	Government owns all or most enterprises.	Basic industries such as railroads and utilities are owned by government. Very high taxation as government redistributes income from successful private businesses and entrepreneurs.	Private ownership of land and businesses but government control of some enterprises. The private sector is typically large
Control of Markets	Complete freedom of trade. No or little government control.	Complete government control of markets.	Some markets are controlled, and some are free. Significant central-government planning. State enterprises are managed by bureaucrats. These enterprises are rarely profitable.	Some markets, such as nuclear energy and the post office, are controlled or highly regulated.
Worker Incentives	Strong incentive to work and innovate because profits are retained by owners.	No incentive to work hard or produce quality products.	Private-sector incentives are the same as capitalism, and public-sector incentives are the same as in a planned economy.	Private-sector incentives are the same as capitalism. Limited incentives in the public sector.

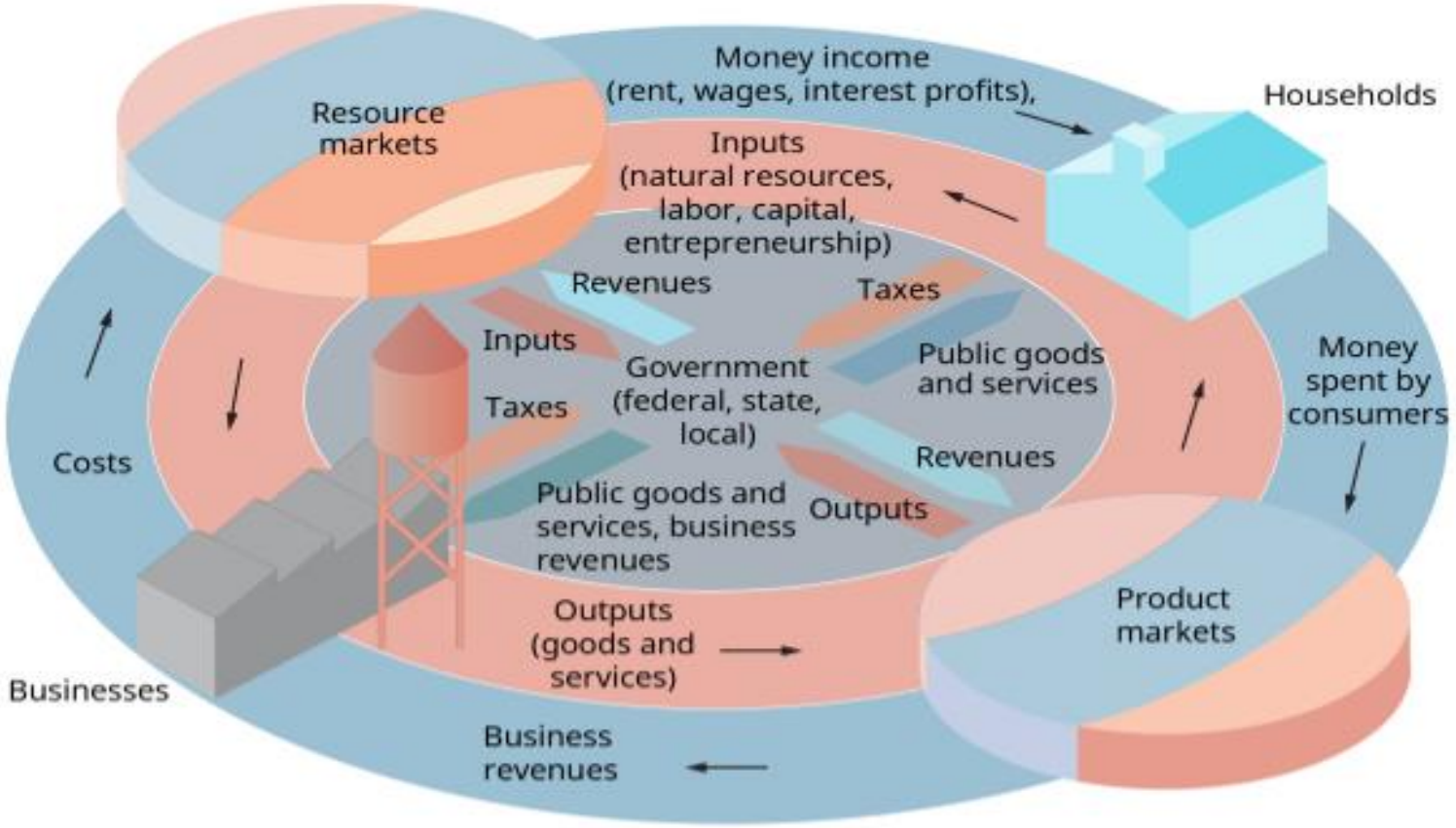
The Basic Economic Systems

Management of Enterprises	Each enterprise is managed by owners or professional managers with little government interference.	Centralized management by the government bureaucracy. Little or no flexibility in decision-making at the factory level.	Significant government planning and regulation. Bureaucrats run government enterprises.	Private-sector management similar to capitalism. Public sector similar to socialism.

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Module 06

Economics as a Circular Flow



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Module 07

Understanding Demand & Supply

- "Catch **a parrot and teach him** to say `**supply and demand**,' and you have an excellent **economist**.“Thomas Carlyle
- **Demand** The quantity of a good or service that people are willing to buy at various prices.
- **Supply** The quantity of a good or service that businesses will make available at various prices.

Law of Demand & Supply

- **The law of demand** states that the quantity purchased varies inversely with price. In other words, the higher the price, the lower the quantity demanded.
- **The law of supply** states that, all other factors being equal, as the price of a good or service increases, the quantity of that good or service that suppliers offer will increase, and vice versa.

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Module 08

Differentiating Between Market Structures

	Perfect Competition	Monopolistic Competition	Oligopoly	Monopoly
Numbers of firms in market	Many	Many, but fewer than perfect competition	Few	One
Firm's ability to control price	None	Some	Some	High
Barriers to entry	None	Few	Many	Subject to government regulation
Product differentiation	Very Little	Emphasis on showing perceived differences in products	Some Differences	No products that compete directly
examples	Farm products such as wheat and corn	Retail specialty clothing stores	Steel, automobiles, airlines, aircraft manufacturer	Utilities such as gas, water, cable television

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Module 09

Business Cycle

- The business cycle is a natural rise and fall of economic growth that occurs over time. It is typically divided into four main phases:
- Expansion
- Peak/Boom
- Contraction/Recession
- Trough/Depression

Business Cycle

- **Expansion**: This phase is marked by increasing economic activity, where indicators such as employment, income, output, and sales rise. Businesses invest more, consumer confidence grows, and overall economic conditions are favorable. This phase continues until the economy reaches its peak.
- **Peak**: The peak is the point at which economic growth reaches its highest level. During this phase, economic indicators stabilize at their maximum levels. However, this also signals the beginning of a transition to the next phase, as growth cannot continue indefinitely.

Business Cycle

- **Contraction**: Following the peak, the economy enters a contraction phase, where economic activity begins to decline. This can lead to a recession, characterized by falling GDP, rising unemployment, and decreasing consumer spending. The contraction phase can vary in duration and severity.
- **Trough**: The trough is the lowest point of the business cycle, where economic activity is at its weakest. After reaching this point, the economy begins to recover, leading back into the expansion phase.

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Module 10

Some Important Concepts in Business

- **Capital** The inputs, such as tools, machinery, equipment, and buildings, used to produce goods and services and get them to the customer.
- **Costs** Expenses incurred from creating and selling goods and services.
- **Revenue** The money a company receives by providing services or selling goods to customers.
- **Profit** The money left over after all costs are paid.

Some Important Concepts in Business

- **Inflation** The situation in which the average of all prices of goods and services is rising.
- **Cost-push inflation:** Inflation that occurs when increases in production costs push up the prices of final goods and services.
- **Demand-pull inflation:** Inflation that occurs when the demand for goods and services is greater than the supply.

Some Important Concepts in Business

- **Risk** The potential to lose time and money or otherwise not be able to accomplish an organization’s goals.
- **Goods** Tangible items manufactured by businesses.
- **Services** Intangible offerings of businesses that can’t be held, touched, or stored.
- **Knowledge** The combined talents and skills of the workforce.
- **knowledge workers** Workers who create, distribute, and apply knowledge.

Some Important Concepts in Business

- **Fiscal Policy** The government's use of taxation and spending to affect the economy.
- **Monetary policy** A government's programs for controlling the amount of money circulating in the economy and interest rates.
- **Gross domestic product (GDP)** The total market value of all final goods and services produced within a nation's borders each year.
- **Recession** A decline in GDP that lasts for at least two consecutive quarters.

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Theme 2

Entrepreneurship, Ethics & Socially Responsible Business

What is Entrepreneurship?

- "The process of creating something new with value by devoting the necessary time and effort, assuming the accompanying financial, psychic, and social risks, and receiving the resulting rewards of monetary and personal satisfaction and independence.“ Robert Hisrich

What is Entrepreneurship?

- **Key Elements of Hisrich's Definition:**
- **Creating something new** – innovation or a new venture
- **With value** – it must be useful or solve a problem
- **Time and effort** – personal commitment is essential
- **Risks** – financial, emotional, and social
- **Rewards** – money, independence, satisfaction

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Module 02

Characteristics of Successful Entrepreneurs

- **1. Innovative**
- Think creatively and bring new ideas, products, or services to the market.
- Look for better ways to solve problems.
- **2. Risk Takers**
- Willing to take calculated risks for potential rewards.
- Understand that failure is part of the process.

Characteristics of Successful Entrepreneurs

- **3. Visionary**
- Have a clear vision and long-term goals.
- Know where they want to go and create a plan to get there.
- **4. Hardworking & Committed**
- Dedicate long hours and consistent effort.
- Stay focused and persistent even in tough times.

Characteristics of Successful Entrepreneurs

- **5. Knowledgeable**
- Understand their industry, market, and customers.
- Constantly learn and adapt to new trends.
- **6. Adaptable**
- Open to change and flexible in decision-making.
- Can pivot strategies when needed.

Characteristics of Successful Entrepreneurs

- **7. Self-Confident**
- Believe in their abilities and ideas.
- Inspire others with their confidence.
- **8. Strong Leadership Skills**
- Can motivate and manage a team effectively.
- Make decisions and lead by example.

Characteristics of Successful Entrepreneurs

- **9. Good Communicators**
- Clearly express ideas to investors, customers, and team members.
- Build strong relationships.
- **10. Goal-Oriented**
- Set specific, measurable goals and work consistently toward achieving them.

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Module 03

Challenges of entrepreneurship

- **1. Uncertainty and Risk**
- No guaranteed income or success
- Risk of business failure, loss of investment, or market rejection
- **2. Limited Access to Capital**
- Difficulty in securing loans or investment
- Limited funds for hiring, marketing, or expansion

Challenges of entrepreneurship

- **3. Time Management**
- Long working hours and juggling multiple roles (e.g., marketer, accountant, manager)
- Work-life balance is often difficult
- **4. Hiring and Retaining Talent**
- Hard to attract skilled employees without offering high salaries or job security
- Managing a team effectively is also a challenge

Challenges of entrepreneurship

- **5. Building a Customer Base**
- Gaining trust and recognition in the market takes time
- Competing with established brands is tough
- **6. Scaling the Business**
- Managing growth without losing quality or control
- Adapting business processes as operations expand

Challenges of entrepreneurship

- **7. Legal and Regulatory Hurdles**
- Navigating licenses, taxes, labor laws, and industry regulations
- Mistakes can be costly
- **8. Dealing with Failure**
- Handling setbacks and rejection
- Emotional pressure, self-doubt, and burnout

Challenges of entreprneurship

- **9. Marketing and Sales**
- Creating awareness with a limited budget
- Reaching the right audience and converting leads into sales
- **10. Market Competition**
- Facing strong competition from established players or new entrants
- Keeping up with changing consumer preferences

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Module 04

Types of entrepreneurs

- **1. Innovative Entrepreneur**
- Focuses on introducing new ideas, products, or technologies.
- **2. Imitative Entrepreneur**
- Adopts existing business models or ideas and improves them.
- Example: Launching a franchise or a local version of a global app.

Types of entrepreneurs

- **3. Serial Entrepreneur**
- Starts multiple businesses one after another.
- Enjoys the startup phase and often sells businesses after success.
- Example: **Elon Musk** (Zip2, PayPal, Tesla, SpaceX, etc.)
- **4. Social Entrepreneur**
- Focuses on solving social or environmental problems.
- Profit is not the only goal; impact matters.
- Example: **Muhammad Yunus** (Grameen Bank), Dr Amjad Saqib (Akhuwat)

Types of entrepreneurs

- **5. Lifestyle Entrepreneur**
- Builds a business around personal interests or passions.
- Goal is flexible lifestyle, not just money.
- Example: Travel bloggers, fitness coaches, freelancers.
- **6. Technopreneur**
- An entrepreneur in the field of technology and innovation.
- Often found in software, AI, and IT startups.
- Example: **Mark Zuckerberg** (Facebook)

Types of entrepreneurs

- **7. Small Business Entrepreneur**
- Runs local or small-scale businesses like shops, restaurants, or salons.
- Focused on stable income rather than rapid growth.
- Example: A local bakery owner.
- **8. Scalable Startup Entrepreneur**
- Aims to grow fast and attract venture capital.
- Focused on building a large, profitable company.
- Example: Founders of startups like Uber or Airbnb.

Types of entrepreneurs

- **9. Corporate Entrepreneur (Intrapreneur)**
- Innovates within a large organization.
- Acts like an entrepreneur but within a company.
- Example: An employee who creates a new product line inside a corporation.

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Module 05

Startup VS Small Business

- A **startup** is a **young company** built around a **big idea**, with **potential for fast growth**, but also high risk. **Example Startups:**
- Airbnb (started by renting air mattresses at home)
- Uber (began as a simple ride-hailing app)
- WhatsApp (launched with basic messaging)

Startup VS Small Business

- A **small business** is a **locally-focused**, **owner-operated** venture that aims for **steady income**, **stability**, and **long-term survival**, rather than fast growth or global expansion.
- **Examples of Small Businesses:**
- A barber shop
- A home-based clothing brand
- A tuition center
- A small restaurant or dhaba
- A mobile repair shop

Startup VS Small Business

Feature	**Startup**	**Small Business**
Goal	Rapid growth and scalability	Stable income and long-term sustainability
Innovation	High – focuses on new ideas/solutions	Low to moderate – often uses proven models
Risk Level	High	Moderate
Funding	Often seeks external funding (VCs, investors)	Usually self-funded or small loans
Growth Plan	Aims for fast national or global growth	Aims for steady local/regional growth
Business Model	Often experimental or evolving	Well-established and traditional
Example	Uber, Spotify, Airbnb	Grocery store, local restaurant, salon
Exit Strategy	May plan for acquisition or IPO	Often passed down or kept family-run

Startup Success Rate

- In Pakistan it is less than 5% while in USA it is about 10%

- Very high failure rate…….

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Module 06

Roles of SMEs in Pakistan's Economic Development

- **1. Employment Generation**
- SMEs provide **over 80% of non-agricultural jobs** in Pakistan.
- They help **absorb new entrants** into the labor force, especially the youth and women.
- **2. Contribution to GDP**
- SMEs contribute **about 40%** to Pakistan's **GDP** (State Bank of Pakistan).
- They form the **backbone of the domestic economy**.

Roles of SMEs in Pakistan's Economic Development

- **3. Export Promotion**
- Many SMEs are engaged in **manufacturing and export-oriented industries** like textiles, leather, sports goods, and handicrafts.
- They **enhance foreign exchange earnings** and diversify exports.
- **4. Poverty Reduction and Income Equality**
- By promoting **self-employment** and small-scale businesses, SMEs help **reduce poverty**.
- They support economic activity in **rural and underdeveloped areas**.

Roles of SMEs in Pakistan's Economic Development

- **5. Industrial Development**
- SMEs support large industries by acting as **suppliers, subcontractors, and service providers**.
- They contribute to **industrial value chains**.
- **6. Innovation and Flexibility**
- SMEs are often **more adaptable and innovative** compared to large firms.
- They quickly respond to **market changes and consumer needs**.

Roles of SMEs in Pakistan's Economic Development

- **7. Promoting Regional Development**
- SMEs create jobs and income opportunities **outside major cities**, reducing urban migration.
- Help in the **balanced economic development** of the country.
- **8. Encouraging Entrepreneurship**
- Serve as a **training ground** for entrepreneurs.
- Foster a culture of **self-reliance and business initiative**.

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Module 07

Current Challenges for SMEs in Pakistan:

- **Lack of financing and access to credit**
- **Poor infrastructure and technology**
- **Regulatory burdens and complex taxation**
- **Limited access to international markets**
- **Low productivity and skills gaps**

Causes of Business Failure

- 1. Lack of Planning
- 2. Limited Access to Finance
- 3. Poor Management and Leadership
- 4. Weak Marketing Strategies
- 5. Regulatory and Tax Burden

Causes of Business Failure

- 6. Political and Economic Instability
- 7. Poor Infrastructure
- 8. Lack of Innovation
- 9. Inadequate Record-Keeping
- 10. Weak Legal Framework and Contract Enforcement

Introduction to Business MGT211

Module 08

The Holy Prophet Hazrat Muhammad (PBUH)as an Entrepreneur

- **Prophet Muhammad (PBUH)** is a powerful example of an **honest, ethical, and visionary entrepreneur**, long before he became the Prophet of Islam. His life as a trader and businessman provides timeless lessons in entrepreneurship.

The Holy Prophet Hazrat Muhammad (PBUH)as an Entrepreneur

- **Early Business Life**
- Before receiving Prophethood, Prophet Muhammad (PBUH) worked as a **merchant and trader**.
- He managed and expanded trade caravans across **Makkah, Syria, Yemen, and beyond**.
- He successfully ran business operations on behalf of **Khadijah (RA)**, a wealthy and respected businesswoman who later became his wife.

Entrepreneurial Traits of The Holy Prophet Hazrat Muhammad (PBUH)

- **1. Trustworthiness (Al-Ameen)**
- Known as **“Al-Ameen” (The Trustworthy)** for his honesty in trade.
- People trusted him with their wealth, goods, and business affairs.
- **2. Excellent Communication**
- He was a **skilled negotiator**, polite, and respectful.
- Built **strong relationships** with partners, clients, and competitors.

Entrepreneurial Traits of The Holy Prophet Hazrat Muhammad (PBUH)

- **3. Ethical Conduct**
- Never cheated or lied in business.
- Avoided **dishonest practices**, such as fraud, hoarding, or exploitation.
- **4. Hardworking and Strategic**
- Traveled long distances for trade missions.
- Understood **market demand**, **timing**, and **pricing** strategies.

Entrepreneurial Traits of The Holy Prophet Hazrat Muhammad (PBUH)

- **5. Leadership and Management**
- Managed large trade caravans and staff with **discipline and fairness**.
- Took **calculated risks** and maintained **financial discipline**.
- **6. Global Outlook**
- His trading routes connected him with people from **various cultures and regions**, giving him a **broad worldview**—a key trait of successful entrepreneurs today.

Lessons from His (PBUH) Business Life

- Ethics before profit
- Honesty builds brand and reputation
- Customer trust is the greatest asset
- Simplicity, humility, and service matter
- Long-term vision outweighs short-term gain

Introduction to Business MGT211

Module 09

Concept of Business Ethics

- **Business ethics** refers to the **moral principles and values** that guide the behavior of individuals and organizations in the business world.
- Business ethics is the application of ethical principles to business behavior, decision-making, and activities.
- It involves deciding **what is right or wrong**, **fair or unfair**, and **just or unjust** in business situations.

Core Principles of Business Ethics

- **Honesty**
- Telling the truth in advertising, contracts, and dealings.
- **Integrity**
- Acting consistently with moral values, even when it's difficult.
- **Fairness**
- Treating customers, employees, and competitors justly.

Core Principles of Business Ethics

- **Accountability**
- Taking responsibility for actions and their consequences.
- **Respect**
- Valuing people’s rights, dignity, and privacy.
- **Transparency**
- Sharing clear, accurate, and truthful information.
- **Loyalty**
- Being faithful to stakeholders, clients, and employees.

Importance of Business Ethics

- Builds **trust** with customers and partners
- Improves **brand reputation** and loyalty
- Reduces **legal problems** and risks
- Promotes **employee morale** and productivity
- Supports **long-term success** over short-term profit

Example Situations

- Not using **false advertising** to trick customers
- Paying **fair wages** to employees
- Avoiding **bribes or corruption**
- Respecting **labor laws and environmental regulations**

Introduction to Business MGT211

Module 10

Holy Quran on Trade & Business

- **“Give full measure and weight with justice. Do not defraud people of their goods, and do not go about spreading corruption on earth.”**
  — Surah Al-A‘raf (7:85)

- **“Woe to those who give less [than due], who when they take a measure from people, take in full. But if they give by measure or by weight to them, they cause loss.”**
  — Surah Al-Mutaffifin (83:1–3)

Holy Quran on Trade & Business

- **“O you who believe! Fulfill all contracts.”**
  — Surah Al-Ma’idah (5:1)

- **“O you who believe! Stand out firmly for Allah as bearers of witness with justice, and let not the hatred of a people prevent you from being just. Be just: that is nearer to piety.”**
  — Surah Al-Ma'idah (5:8)

- The **Qur’an teaches that trade must be based on honesty, justice, and mutual consent**. Cheating, fraud, and exploitation are **strictly forbidden**, while ethical business is a **form of worship** and a means of earning **Allah’s blessings**.

Sayings of Holy Prophet Hazrat Muhammad (PBUH) on Business/Trade

- **“The honest and trustworthy merchant will be with the Prophets, the truthful, and the martyrs.”**
  — [Tirmidhi, Hadith 1209]

"He who accepts the return of a product (goods) from a Muslim, Allah will cancel his slip (sins) on the Day of Judgment."
— [Sunan Ibn Majah, Hadith 2199]

Sayings of Holy Prophet Hazrat Muhammad (PBUH) on Business/Trade

- **“A sale is a sale only if it is done with mutual consent.”**
  — *[Sunan Ibn Majah, Hadith 2185]*
- **“Whoever hoards is a sinner.”**
  — *[Sahih Muslim, Hadith 1605]*
- **“He who cheats is not one of us.”**
  — *[Sahih Muslim, Hadith 102]*

Sayings of Holy Prophet Hazrat Muhammad (PBUH) on Business/Trade

- **“Pay the worker his wages before his sweat dries.”**
  — [Sunan Ibn Majah, Hadith 2443]

- **“The buyer and the seller have the option (to cancel the deal) as long as they have not separated. If they spoke the truth and made everything clear, they will be blessed in their transaction...”**
  — [Sahih al-Bukhari, Hadith 2079]

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Theme 3

Forms of Business Ownership

Module 36

Sole Proprietorship

- A **sole proprietorship** is the **simplest form of business** owned and run by **one individual**, with **no legal separation** between the owner and the business.

Key Features of a Sole Proprietorship

- **Single Ownership**
- Owned and controlled by **one person**
- **Easy to Start and Operate**
- Minimal legal formalities or registration
- **Unlimited Liability**
- Owner is **personally responsible** for all business debts and losses

Key Features of a Sole Proprietorship

- **Owner Keeps All Profits**
- All income goes directly to the owner (but so do all losses)
- **Lack of Continuity**
- Business ends if the owner dies or quits
- **Full Control**
- The owner makes all decisions without needing approval from others

Introduction to Business MGT211

Theme C

Forms of Business Ownership

Module 37

Scope of Sole Proprietorship

- **1. Wide Applicability Across Sectors**
- Sole proprietorship is common in:
- **Retail trade** (e.g., grocery stores, bookshops, clothing outlets)
- **Services** (e.g., salons, tailors, freelancers, consultants)
- **Manufacturing** (e.g., small-scale garment stitching, bakery, handicrafts)
- **E-commerce** (home-based or online stores on platforms like Daraz)

Scope of Sole Proprietorship

- **2. Suitable for Low-Investment Startups**
- Ideal for individuals starting with **limited capital**
- No need for complex legal structure or high registration costs
- Great for **students, freelancers, women entrepreneurs**, and **retired professionals**

Scope of Sole Proprietorship

- **3. Personalized and Local Businesses**
- Allows for **personal customer service** and building trust
- Ideal for **community-based services** like tutors, plumbers, mechanics, etc.
- **4. Vital Role in Developing Economies**
- In countries like Pakistan:
- **Over 90% of businesses** are sole proprietorships
- It helps reduce **unemployment** and supports **informal sector growth**
- Encourages **entrepreneurship** among youth and low-income groups

Scope of Sole Proprietorship

- **5. Opportunity for Skill-Based Income**
- Individuals can turn **skills into income** (e.g., graphic design, baking, tailoring, teaching)
- Flexibility allows owners to experiment and adapt easily
- **Limitations of Scope**
- Not ideal for large businesses that need big capital or shared expertise
- Limited growth potential due to **capital and risk constraints**

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Theme 3

Forms of Business Ownership

Module 38

Advantages of Sole Proprietorship

- **1. Easy to Start and Close**
- Requires **minimal legal formalities**
- No need to register with SECP (only tax registration with FBR)
- Can be started **quickly and inexpensively**
- **2. Full Control**
- The owner makes **all decisions** without interference
- No need to consult partners or directors
- Perfect for people who want **complete independence**

Advantages of Sole Proprietorship

- **3. Keeps All Profits**
- The sole proprietor receives **100% of the profit**
- No need to share with partners or shareholders
- **4. Tax Benefits**
- Income is taxed as **personal income**, which may result in **lower taxes** compared to corporate tax rates
- No separate corporate tax filing required

Advantages of Sole Proprietorship

- **5. Flexible and Simple Operations**
- Can easily **change business direction** or **adapt to market needs**
- Ideal for freelancers, local shops, and small services
- **6. Low Cost of Operation**
- No need for complex accounting, legal fees, or annual SECP filings
- **Lower overhead costs** compared to a company

Advantages of Sole Proprietorship

- **7. Confidentiality**
- Business financials are **not public** (unlike registered companies)
- Full privacy over income, expenses, and strategy
- **8. Direct Relationship with Customers**
- Builds **strong personal trust and loyalty**
- The owner interacts directly with clients, which improves customer service

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Theme 3

Forms of Business Ownership

Module 39

Disadvantages of Sole Proprietorship

- **1. Unlimited Liability**
- The biggest risk: the owner is **personally responsible** for all debts and losses.
- If the business fails, **personal assets (like house or savings)** can be taken to repay creditors.
- **2. Limited Capital**
- Raising large amounts of money is difficult.
- Banks and investors are often hesitant to fund sole proprietors due to **lack of formal structure or collateral**.

Disadvantages of Sole Proprietorship

- **3. Lack of Continuity**
- The business **ends if the owner dies, retires, or becomes incapacitated**.
- No automatic transfer of ownership.
- **4. Limited Managerial Skills**
- One person cannot be expert in **all areas** like marketing, finance, operations, etc.
- Leads to **poor decision-making** or overwork.

Disadvantages of Sole Proprietorship

- **5. Difficult to Expand**
- Hard to scale the business beyond a certain point.
- Growth is limited by **personal time, resources, and knowledge**.
- **6. Low Business Credibility**
- Compared to a company, sole proprietorships may appear **less professional**.
- Some clients or companies may **avoid dealing** with unregistered businesses.
- **7. No Legal Identity**
- The business and the owner are legally **the same entity**.
- You **cannot sue or be sued** as a business entity—only as an individual.

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Theme 3

Forms of Business Ownership

Module 40

Law Governing Sole Proprietorship in Pakistan

- In **Pakistan**, **sole proprietorships** are **not governed by a specific separate law** like companies are. However, they operate under several general laws and **must register with certain government authorities** for legal and tax purposes.
- Registration with FBR (Federal Board of Revenue)
- Trade License from Local Government

  - **Sales Tax** department (for goods-based businesses)
  - **Professional bodies** (e.g., for medical, legal, or engineering services)
  - **Provincial authorities** like **Punjab Revenue Authority (PRA)** or **Sindh Revenue Board (SRB)** for service tax

Law Governing Sole Proprietorship in Pakistan

- **Key Applicable Laws (Indirectly)**
- **Income Tax Ordinance, 2001**
- **Sales Tax Act, 1990**
- **Shops and Establishments Ordinance** (varies by province)
- **Contract Act, 1872** (for commercial agreements)

Law Governing Sole Proprietorship in Pakistan

- A **Single Member Company (SMC)** is a **private limited company** formed and operated by **only one person**. It is **legally separate** from its owner and governed under **specific laws** in Pakistan.
- Law Governing SMC in Pakistan
- **The Companies Act, 2017**
  Administered by: **Securities and Exchange Commission of Pakistan (SECP)**
- **Single Member Companies Rules, 2003**

Key Features of an SMC

Feature	Details
Owner	Only 1 person (called “sole director & shareholder”)
Legal Identity	Separate legal entity from the owner
Liability	Limited to the amount of capital invested
Registration	Must be registered with **SECP**
Taxation	Taxed as a **company** under the **Income Tax Ordinance, 2001**
Memorandum & Articles	Must file **MOA** and **AOA** at registration
Nominee Requirement	Must appoint a **nominee** who takes over in case of death/incapacity

Benefits of SMC over Sole Proprietorship

- **Limited liability protection** for the owner
- **More credibility** with banks and investors
- **Better tax planning opportunities**
- Suitable for **scaling and converting to a Private Limited Company** later

Legal Documents Required for Registration

- CNIC of owner and nominee
- Address and name of the company
- Memorandum and Articles of Association (MOA & AOA)
- Paid-up capital details
- Company name availability through **SECP portal (https://eservices.secp.gov.pk/eServices/)**

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Forms of Business Ownership

Module 41

What is a Partnership Business?

- A **partnership** is a type of business where **two or more people** share **ownership**, **resources**, **profits**, and **responsibilities**. It is governed in Pakistan by the **Partnership Act, 1932**.
- **Legal Framework in Pakistan:**
- Governed by: **Partnership Act, 1932**
- Registration: Through the **Registrar of Firms** (optional but strongly recommended)

Key Features of a Partnership

- **Two or More Owners**
- Minimum: **2** partners
- Maximum: **20** partners (as per law in most cases)
- **Shared Responsibility**
- Partners manage the business **jointly** or delegate authority among themselves.
- **Profit and Loss Sharing**
- Profits and losses are divided **as per agreement** or equally if no agreement exists.

Key Features of a Partnership

- **Unlimited Liability**
- In a **general partnership**, each partner is personally liable for the **debts and obligations** of the business.
- **Mutual Agency**
- Any partner can act on behalf of the firm, and the firm is **legally bound** by their actions.
- **Legal Structure**
- Partnership is **not a separate legal entity** from its partners.

Types of Partnership

- **General Partnership** – All partners have equal responsibility and liability.
- **Limited Partnership** – Some partners have **limited liability** and no active role in management.
- **Partnership at Will** – Can be dissolved at any time with mutual consent.

Examples of Partnership Businesses

- Law firms
- Medical clinics
- Small manufacturing firms
- Family-run businesses
- Construction Firms

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Theme 3

Forms of Business Ownership

Module 42

Advantages of a Partnership Firm

- **1. Easy to Form**
- Fewer legal formalities than a company
- Registration with the Registrar of Firms is **optional** but beneficial
- Can be started with just a **simple written agreement**
- **2. More Capital**
- With **multiple partners contributing**, the firm has access to **more funds** than a sole proprietorship
- Easier to **raise capital** or attract investors

Advantages of a Partnership Firm

- **3. Combined Skills and Expertise**
- Each partner may bring different **skills, experience, and connections**
- Leads to **better decision-making and management**
- **4. Shared Responsibilities**
- Workload and business risks are **distributed**
- Partners can **specialize in different areas** (e.g., finance, marketing, operations)

Advantages of a Partnership Firm

- **5. Quick Decision-Making**
- Fewer formalities than a company
- Partners can **make fast decisions** without waiting for board meetings
- **6. Tax Benefits**
- In Pakistan, partnership firms are **not taxed as companies**
- **Income is taxed at the individual partner level**, which can reduce the overall tax burden

Advantages of a Partnership Firm

- **7. Greater Borrowing Capacity**
- A registered firm with more partners may be **more trusted by banks and lenders**
- Better chances of getting loans compared to a sole proprietorship
- **8. Flexibility**
- Easy to **change terms**, bring in new partners, or reallocate profit-sharing ratios
- Can **expand or contract** based on mutual agreement

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Forms of Business Ownership

Module 43

Disadvantages of a Partnership Firm

- **1. Unlimited Liability**
- In a **general partnership**, partners are personally responsible for **all debts** of the business.
- If the firm cannot pay, **creditors can seize personal assets** of any or all partners.
- **2. Risk of Disputes**
- Differences in **opinion, work ethic, or profit-sharing** can lead to conflicts.
- Disputes among partners can **damage trust** and even lead to **dissolution** of the business.

Disadvantages of a Partnership Firm

- **3. Lack of Continuity**
- The partnership may **dissolve automatically** if a partner dies, becomes bankrupt, or resigns.
- It lacks the **perpetual existence** of a company.
- **4. Limited Capital and Growth**
- Although more than a sole proprietorship, the capital is still **limited to partners' contributions**.
- It may not attract **big investors or venture capital**, which limits expansion.

Disadvantages of a Partnership Firm

- **5. Joint and Several Liability**
- Each partner is **jointly and individually liable** for the actions of the other partners.
- One partner's **wrong decision or fraud** can hurt the whole firm.
- **6. Limited Public Trust**
- Compared to companies, partnership firms are seen as **less formal and less transparent**.
- They may not inspire **confidence among large clients, suppliers, or lenders**.
- **7. Difficult to Transfer Ownership**
- A partner **cannot transfer his share** to an outsider without **consent of all other partners**.
- This limits flexibility in changing ownership.

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Forms of Business Ownership

Module 44

How to Register a Partnership Firm in Pakistan

- In Pakistan, a **partnership firm** can be registered under the **Partnership Act, 1932** through the **Registrar of Firms** in the respective **District/City**. Although registration is **not mandatory**, it is **strongly recommended** for legal protection and credibility.

Step-by-Step Process to Register a Partnership Firm in Pakistan

- **1: Choose a Business Name**
- Select a **unique and appropriate name** for your firm
- Avoid names that are misleading or already registered

Step-by-Step Process to Register a Partnership Firm in Pakistan

- **Step 2: Draft a Partnership Deed**
- The **Partnership Deed** is a legal agreement among partners. It should include:
- Name of the firm
- Names and CNICs of all partners
- Nature of business
- Capital contribution of each partner
- Profit and loss sharing ratio
- Duties and powers of partners
- Rules for retirement, death, or dissolution
- Duration of the partnership (if any)
- 🖋️ It must be **printed on stamp paper** of appropriate value and **signed by all partners**.

Step-by-Step Process to Register a Partnership Firm in Pakistan

- **Step 3: Notarize the Partnership Deed**
- Get the deed **notarized by a registered Notary Public**
- **Step 4: Submit Application to Registrar of Firms**
- Submit the following documents to the **Registrar of Firms** in your district (usually at the District Commissioner's office or local Registration Office):

Step-by-Step Process to Register a Partnership Firm in Pakistan

- 📄 **Required Documents:**
- **Application form (Form-I)** – signed by all partners
- **Original and copy of the Partnership Deed**
- **Affidavit** on stamp paper stating the accuracy of the documents
- **CNIC copies** of all partners
- **Business address proof** (e.g., utility bill, rent agreement)
- **Payment of registration fee** (varies by province, usually Rs. 1,000 – Rs. 3,000)

Step-by-Step Process to Register a Partnership Firm in Pakistan

- **Step 5: Issuance of Certificate of Registration**
- If all documents are in order, the Registrar will **enter the firm in the Register of Firms** and issue a **Certificate of Registration**.
- **Optional: Register for Taxation (FBR)**
- After registration, apply for a **National Tax Number (NTN)** through the **FBR online portal**
- Register for **Sales Tax** (if applicable to your business)

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Forms of Business Ownership

Module 45

Rights of Partners

- **Right to Participate in Management**
- Every partner has the right to take part in business decisions unless otherwise agreed.
- **Right to Share Profits**
- Entitled to an equal share of profits and losses unless stated differently in the deed.
- **Right to Access Books and Records**
- All partners can inspect and copy the firm’s accounts and records.

Rights of Partners

- **Right to be Indemnified**
- If a partner spends money or suffers loss while doing firm-related work, they have the right to be **reimbursed**.
- **Right to Express Opinion**
- In case of a dispute, each partner has the right to express their view. Decisions are made by **majority**, but all must be consulted.
- **Right to Retire or Leave**
- Can retire or dissolve the partnership after giving proper notice (in case of partnership at will).

Duties of Partners

- **Duty to Work Honestly and Faithfully**
- Must act in **good faith**, with honesty and fairness towards the firm and partners.
- **Duty to Contribute to Losses**
- Must **share losses** according to the agreement (or equally if not specified).
- **Duty Not to Compete**
- Cannot run a **competing business** without consent. If done, must **surrender profits** earned.

Duties of Partners

- **Duty to Account for Personal Gains**
- If a partner earns secret profits using firm resources, they must **return it to the firm**.
- **Duty to Act Diligently**
- Expected to **work with reasonable care and skill** in managing firm affairs.
- **Duty to Keep Confidentiality**
- Must not disclose firm secrets even after leaving the firm.

Liabilities of Partners

- **Unlimited Liability**
- Each partner is personally liable for the **debts and obligations** of the firm.
- **Joint and Several Liability**
- A creditor can sue **any one or all partners** for recovery. One partner may pay, but can claim share from others later.

Liabilities of Partners

- **Liability for Acts of Others**
- All partners are liable for acts done by **any partner** in the **course of business**.
- **Liability After Retirement (Limited)**
- A retired partner is still liable for acts done before retirement, **unless proper public notice** is given.

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Forms of Business Ownership

Module 46

Dissolution of a Partnership Firm in Pakistan

- A **partnership firm** can be dissolved in various ways depending on the situation. The process is governed by the **Partnership Act, 1932**.
- **What is Dissolution?**
- **Dissolution** means the **legal ending of the partnership relationship** among the partners. It can happen **voluntarily**, **automatically**, or by **court order**.

Dissolution of a Partnership Firm in Pakistan

- **1. Dissolution by Mutual Consent**
- All partners **agree to dissolve** the firm.
- ✓ Simple and most common method
  ✓ No legal conflict
  ✓ Based on **mutual agreement**

Dissolution of a Partnership Firm in Pakistan

- **2. Dissolution by Expiry or Completion**
- If the partnership was:
- **For a fixed period**, it ends when the time is over
- **For a specific project**, it ends upon project completion

Dissolution of a Partnership Firm in Pakistan

- **3. Dissolution at Will**
- In a **partnership at will**, **any partner** can dissolve the firm by giving a **written notice** to the other partners.
- 📜 No court involvement required
  📅 Dissolution takes effect from the **date mentioned in the notice**

Dissolution of a Partnership Firm in Pakistan

- **4. Compulsory Dissolution**
- The firm is **automatically dissolved** if:
- **All partners (except one) die or become insolvent**
- The business becomes **illegal** due to a change in law

Dissolution of a Partnership Firm in Pakistan

- **5. Dissolution by Court (Section 44)**
- The court may order dissolution on application by a partner due to:
- **Misconduct or fraud** by a partner
- **Incapacity or mental illness** of a partner
- **Persistent breach of agreement**
- **Loss-making business** with no future
- Partner's behavior making business **impossible to continue**

Procedure After Dissolution

- **Settle Accounts**
- Pay off all debts and liabilities
- Remaining amount is distributed among partners as per agreement
- **Give Notice of Dissolution**
- Publish in local newspaper
- Inform creditors, clients, and Registrar of Firms (if registered)
- **Cancel Registrations**
- Tax registration (FBR)
- Sales tax (if applicable)

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Theme 3

Forms of Business Ownership

Module 47

What is a Company?

- A **company** is a **legal business entity** formed by a group of people to **carry out commercial activities**. It has a **separate legal identity** from its owners and is governed by specific laws.
- In **Pakistan**, companies are regulated under the:
- **Companies Act, 2017**
  Supervised by: **Securities and Exchange Commission of Pakistan (SECP)**

What is a Company?

- According to **Section 2(10)** of the **Companies Act, 2017**
- “Company” means a company formed and registered under this Act or an existing company.”
- In simple terms:
- A **company** is a **legal entity** that is **formed and registered** under the **Companies Act, 2017** in Pakistan.
- It includes:
  - Companies that are **newly incorporated** under this Act
  - Companies that were **already registered** under previous company laws (like the Companies Ordinance, 1984)

Key Features of a Company

Feature	Description
Separate Legal Entity	A company is legally **independent** of its shareholders or directors
Limited Liability	Owners/shareholders are liable **only to the extent of their investment**
Perpetual Succession	Company continues to exist even if owners or directors change or die
Transferability	Ownership (shares) can be **easily transferred**, especially in public companies
Common Seal	A legal signature used for official documents (now optional under law)

Types of Companies in Pakistan

- **Private Limited Company (Pvt. Ltd.)**
- Cannot sell shares to the public
- Minimum 2 and maximum 50 members
- **Single Member Company (SMC)**
- Only one shareholder
- Suitable for sole owners who want limited liability

Types of Companies in Pakistan

- **Public Limited Company**
- Can offer shares to the public
- Requires at least 3 directors and 7 shareholders
- **Non-Profit Company (Section 42)**
- Formed for charitable, educational, or social purposes
- Cannot distribute profits

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Forms of Business Ownership

Module 48

Advantages of a Company

Advantage	Description
1. Limited Liability	Shareholders are only liable **up to the amount they invested**—personal assets are protected.
2. Separate Legal Entity	A company is **legally separate** from its owners. It can **own property, sue, and be sued** in its own name.
3. Perpetual Succession	A company continues to exist **even if directors or shareholders change or die**.
4. Easier to Raise Capital	Companies can raise funds by issuing **shares or debentures**, especially public companies.

Advantages of a Company

- **5. Better Credibility**
- Clients, banks, and investors often trust registered companies more than unregistered businesses.
- **6. Transfer of Ownership**
- Shares can be easily transferred without affecting the business operations (in public companies).
- **7. Professional Management**
- Board of directors and managers run the company based on structure and expertise.
- **8. Tax Planning Opportunities**
- Companies may get access to **deductions, incentives, and exemptions** available under tax laws.

Disadvantages of a Company

Disadvantage	Description
1. Complex Formation	Requires **registration with SECP**, legal documentation, and more steps than sole proprietorship or partnership.
2. High Setup and Maintenance Costs	Legal fees, auditor charges, annual SECP filings, and tax compliance can be expensive.
3. Compliance Requirements	Must follow strict rules: **annual audits**, **board meetings**, **financial statements**, etc.
4. Loss of Privacy	Financials and company details are often available to the public through SECP.
5. Slow Decision-Making	Formalities, board approvals, and shareholder meetings may delay urgent decisions.
6. Double Taxation (in some cases)	Company profits may be taxed **and** dividends may be taxed again in shareholders' hands.
7. Penalties for Non-Compliance	Failing to meet legal obligations can result in **fines, disqualification, or legal action** by SECP.

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Forms of Business Ownership

Module 49

How a Company is Formed in Pakistan?

- To form a company in Pakistan, you must register it with the **Securities and Exchange Commission of Pakistan (SECP)** under the **Companies Act, 2017**. The process is now fully **online** via the **SECP e-Services portal**.

Step-by-Step Guide to Form a Company in Pakistan

- **Step 1: Name Reservation**
- Go to the **SECP e-Services portal**: https://eservices.secp.gov.pk
- Create an account and submit a **“Name Reservation” application**
- The name must:
  - Be **unique**
  - Not violate any SECP restrictions
  - Not resemble an already registered name
- 🕐 Approval usually takes **1–2 working days**

Step-by-Step Guide to Form a Company in Pakistan

- **Step 2: Prepare Required Documents**
- After the name is approved, prepare the following:
- **Memorandum of Association (MOA)** – defines the business scope
- **Articles of Association (AOA)** – defines internal rules and management
- **CNICs** of directors/shareholders
- **Form 29** – details of directors
- **Form 21** – registered office address
- **Form A** – declaration of compliance
- **Nominee's CNIC** (for Single Member Company only)
- **Digital Signature Token** (obtained from NIFT)

Step-by-Step Guide to Form a Company in Pakistan

- **Step 3: Pay the Government Fee**
- Fees depend on company type and capital (e.g., starting from around **PKR 1,500 to 15,000**)
- Payment is made via **bank challan or online payment**
- **Step 4: Submit Incorporation Application**
- Submit all documents online through SECP's e-Services
- Attach scanned documents and payment receipt
- 🕐 If everything is correct, SECP approves and issues:
- **Certificate of Incorporation**
- **Company Registration Number (CRN)**

Step-by-Step Guide to Form a Company in Pakistan

- **Step 5: Register for Tax with FBR**
- Apply for **National Tax Number (NTN)** on FBR's Iris portal: https://iris.fbr.gov.pk
- Register for **sales tax** if applicable
- **Optional: Open Company Bank Account**
- Use the **Certificate of Incorporation**, MOA, AOA, and NTN to open a bank account in the company's name

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Forms of Business Ownership

Module 50

Key Company Documents in Pakistan (Under Companies Act, 2017)

- When forming and operating a company in Pakistan, several **official documents** are required. These documents define the company's **legal identity, structure, and operations**, and are submitted to the **Securities and Exchange Commission of Pakistan (SECP)**.

1. Memorandum of Association (MOA)

- The **foundation document** of the company
- States the **objectives and scope** of the business
- Includes:
  - Company name
  - Registered office address
  - Nature of business
  - Share capital
  - Liability clause (limited or unlimited)
  - Names and signatures of founding members
- 📌 Without an MOA, a company **cannot be registered**

2. Articles of Association (AOA)

- Describes the **internal rules and regulations** of the company
- Covers:
  - Rights and duties of directors
  - Voting procedures
  - Dividend policies
  - Meeting protocols
  - Share transfer rules
- 📌 Must be submitted with the MOA during incorporation

3. Certificate of Incorporation

- Issued by SECP upon successful registration
- Serves as the company's **birth certificate**
- Includes:
- Company name
- Incorporation date
- Company registration number (CRN)

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Forms of Business Ownership

Module 51

Other Documents

- **4. Form A (Declaration of Compliance)**
- A signed statement by a director or authorized person that:
  - All legal requirements for registration have been met
  - Documents submitted are accurate and complete
- **5. Form 29 (Particulars of Directors and Officers)**
- Provides full details of:
  - Directors
  - CEO
  - Company Secretary
- Includes names, CNICs, nationalities, addresses, and designations

Other Documents

- **6. Form 21 (Notice of Registered Office)**
- Contains the official **address of the company's head office**
- Required for legal correspondence and tax registration
- **7. CNIC Copies of Directors/Shareholders**
- Identification documents of all individuals involved in the company
- For foreign nationals: copy of passport

Other Documents

- **8. Nominee's Details (for Single Member Company)**
- For an **SMC**, the sole shareholder must nominate someone to take over if they die or become incapable
- **9. Company Resolution Documents (Post-Incorporation)**
- Used for:
  - Opening bank accounts
  - Appointing auditors
  - Approving loans or investments
  - Authorizing signatories

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Forms of Business Ownership

Module 52

Management Structure of a Company

- **Board of Directors (BOD)**
- Elected by shareholders
- Responsible for **policy-making**, major decisions, and oversight
- Minimum:
  - **1 director** in a **Single Member Company**
  - **2 in a Private Limited Company**
  - **3 in a Public Limited Company**

Management Structure of a Company

- **Chief Executive Officer (CEO)**
- Appointed by the Board
- Handles **day-to-day operations**
- Reports to the Board of Directors
- **Company Secretary (if applicable)**
- Handles compliance, meetings, legal filing with SECP
- **Mandatory for Public Companies**

Introduction to Business MGT211

Theme 3

Forms of Business Ownership

Module 53

Types of Company Meetings

- **A. Statutory Meeting (Only for Public Companies)**
- First meeting held within **6 months of incorporation**
- Discuss formation, contracts, and share allotment
- **B. Board Meetings**
- Held by the **Board of Directors**
- Frequency:
  - At least **1 meeting every quarter** (for public companies)
  - Private companies: as per Articles of Association
- **Key Functions:**
- Approve financials
- Appoint CEO, auditors
- Declare dividends
- Authorize investments, borrowings

Types of Company Meetings

- **C. Annual General Meeting (AGM)**
- **Mandatory for Public Companies**
- Held within:
  - **16 months** of incorporation
  - Every **calendar year** thereafter (not more than 15 months apart)
- **Agenda Includes:**
- Approval of financial statements
- Appointment of auditors
- Declaration of dividends
- Election of directors (if applicable)

Types of Company Meetings

- **D. Extraordinary General Meeting (EGM)**
- Held **anytime outside the AGM** to discuss urgent matters
- Called by:
  - Board of Directors
  - Members holding at least **10% shares**

Legal Requirements for Meetings

Meeting Type	Who Attends	Frequency	Mandatory?
Statutory Meeting	Members, directors	Once, after incorporation	For public companies only
Board Meeting	Directors	Quarterly (at least)	Yes (especially for public companies)
Annual General Meeting (AGM)	Shareholders	Once every calendar year	Yes (for public companies)
Extraordinary General Meeting (EGM)	Shareholders	As needed	Optional but useful

How Meetings Are Managed

- **Agenda and notice** must be circulated in advance (7–21 days depending on the meeting type)
- **Quorum** must be met (usually 2 members/shareholders)
- **Minutes** must be recorded and signed
- Resolutions passed are filed with **SECP** if required (e.g., Form 26 for special resolutions)

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Theme 3

Forms of Business Ownership

Module 54

How Companies Are Wound Up in Pakistan

- Under the **Companies Act, 2017**, a company may be **wound up (closed or dissolved)** when it cannot or no longer wishes to continue its operations. Winding up involves **settling debts, liquidating assets, and legally dissolving** the company.

Types of Winding Up in Pakistan

- **Voluntary Winding Up**
- Initiated **by the company itself**, typically when:
- Business has no future
- Directors/shareholders no longer wish to operate
- **a) Members' Voluntary Winding Up**
- Company is **solvent** (can pay its debts)
- Requires:
  - Board resolution
  - Special resolution by members
  - Declaration of solvency
  - Appointment of liquidator

Types of Winding Up in Pakistan

- **b) Creditors' Voluntary Winding Up**
- Company is **insolvent** (cannot pay its debts)
- Creditors are involved in appointing liquidator and supervising process
- **Winding Up by SECP (Under Supervision)**
- SECP can initiate winding up in public interest or due to **severe non-compliance**
- Common in case of fraud, false statements, or illegal activities

Types of Winding Up in Pakistan

- **Compulsory Winding Up (By Court Order)**
- The **High Court** may order winding up if:
- The company is **insolvent**
- Company **fails to commence business** within a year of incorporation
- Number of members falls below legal minimum
- Company **acts against national interest or public policy**
- On application by:
  - Creditors
  - SECP
  - Shareholders

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Theme 3

Forms of Business Ownership

Module 55

Winding Up Process (General Steps)

- **Resolution to Wind Up**
- Special resolution passed by shareholders (or court/SECP order)
- **Appointment of Liquidator**
- A liquidator is appointed to:
  - Sell company assets
  - Pay debts and taxes
  - Distribute leftover money to shareholders
- **Notification to SECP and FBR**
- Submit relevant forms and documents
- SECP oversees the liquidation process

Winding Up Process (General Steps)

- **Settlement of Liabilities**
  - Clear all debts, employee dues, taxes, and legal claims
- **Final Accounts & Audit**
  - Liquidator prepares final statement of accounts
  - Shareholders or court approves the report
- **Dissolution Certificate**
  - SECP issues a **certificate of dissolution**
  - Company is officially closed and removed from the register

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Theme 3

Forms of Business Ownership

Module 56

Specialized Forms of Business Organization

- Apart from the common business structures like **sole proprietorship**, **partnership**, and **company**, there are **specialized forms** designed to meet unique operational, legal, or social objectives. These are often used in **non-profit, professional, cooperative, or specific investment** setups.

1. **Cooperative Society**

- A business owned and managed by a **group of individuals** for their mutual benefit.
- Common in agriculture, housing, and credit unions.
- **Key Features:**
- One member = one vote (democratic control)
- Profits shared among members
- Registered under **Cooperative Societies Act, 1925** (in Pakistan)
- **Examples:**
- Utility cooperatives
- Farmers' associations
- Housing societies

2. **Joint Venture (JV)**

- A **temporary partnership or business agreement** between two or more parties for a **specific project or goal**.
- **Key Features:**
- Shared risk and profit
- Ends after project completion
- May be registered as a **company or partnership**
- **Common in:**
- Construction, oil & gas, infrastructure, international collaborations

3. **Franchise Business**

- A business model where a **franchisee** pays to use the **brand, products, and systems** of an established company (**franchisor**).
- **Key Features:**
- Franchisee operates independently under franchisor’s brand
- Franchisor provides marketing, training, and support
- Common in **fast food, retail, and services**
- **Examples:**
- McDonald's, KFC, Subway, etc.

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Theme 3

Forms of Business Ownership

Module 57

4. **Limited Liability Partnership (LLP)**

- A **hybrid form** combining features of a partnership and a company.
- **Key Features:**
- **Separate legal identity** from its partners
- **Limited liability** for all partners
- Suitable for **professionals** (law firms, consulting, etc.)
- 🔍 Not yet widely available in Pakistan due to absence of comprehensive LLP law (but under discussion).

5. **Non-Profit Company (Section 42 Company)**

- Formed for **charitable, religious, scientific, or educational** purposes.
- **Profits cannot be distributed** to members or directors.
- **Registered with SECP** under **Section 42 of the Companies Act, 2017**
- **Examples:**
- NGOs
- Trust schools
- Public welfare organizations

6. **Trusts and Foundations**

- Created for **charitable, educational, religious, or social** purposes.
- Governed by the **Trusts Act, 1882** and relevant provincial laws.
- **Features:**
- Managed by trustees
- Assets are used for public welfare
- Not profit-oriented

Introduction to Business MGT211

Theme 3

Forms of Business Ownership

Module 58

What is a Merger?

- A **merger** is when **two or more companies combine** to form a **new entity**.
- **Example:** Company A and Company B merge to create **Company AB**.
- **Characteristics:**
- Mutual agreement
- Equal or near-equal footing
- Usually for growth or synergy
- Shareholders of both companies become shareholders in the new company

What is an Acquisition?

- An **acquisition** is when **one company buys the majority or all shares** of another company and gains control over it.
- **Characteristics:**
- One company dominates
- Can be **friendly** (agreed) or **hostile** (forced takeover)
- Target company may still operate under its original name or brand

Types of Mergers

Type	Description
Horizontal	Two companies in the **same industry** merge (e.g., banks, telecoms)
Vertical	Companies at **different stages of supply chain** merge
Conglomerate	Companies from **unrelated industries** combine
Market Extension	Same products, **different markets**
Product Extension	Related products, **same market**

Why Companies Merge or Acquire

-  Expand market share
-  Reduce costs (economies of scale)
-  Access new technologies or resources
-  Eliminate competition
-  Enter new markets
-  Save a failing business (acquisition of struggling firms)

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Theme 3

Forms of Business Ownership

Module 59

Process of M&A in Pakistan

- **Board Resolutions** by involved companies
- **Due Diligence** (financial, legal, tax review)
- **Shareholder Approval**
- **SECP and CCP Approval**
- **Court Sanction** (for some types of mergers)
- **Execution of Scheme** (assets, liabilities, shares transferred)

Recent Examples in Pakistan

Merger/Acquisition	Sector	Remarks
Ufone + PTCL	Telecom	Merger under PTCL Group
Faysal Bank (acquiring) SME Bank	Banking	Ongoing acquisition process
Careem (by Uber)	Transport	International acquisition with local impact

Advantages of M&A

- Rapid expansion
- Increased customer base
- Diversification
- Cost efficiency
- Better talent pool

Disadvantages

- Culture clashes
- Layoffs/redundancies
- High costs
- Integration problems
- Regulatory hurdles

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Theme 4

Functional Areas of a Business

Module 59

Functional Areas of a Business

- 1. **Operations / Production**
- 2. **Marketing**
- 3. **Finance**
- 4. **Human Resource Management (HRM)**
- 5. **Sales**
- 6. **Information Technology (IT)**
- 7. **Research and Development (R&D)**
- 8. **Customer Service**

1. Operations / Production

- Responsible for **producing goods or services**
- Ensures efficiency, quality control, and cost-effectiveness
- **Key Tasks:**
- Manufacturing or service delivery
- Inventory management
- Quality assurance
- Supply chain and logistics

2. Marketing

- Focuses on **promoting the business** and attracting customers
- **Key Tasks:**
- Market research
- Advertising and promotion
- Branding and public relations
- Digital and social media marketing
- Customer relationship management

3. Finance

- Manages all **money-related matters** in the business
- **Key Tasks:**
- Budgeting and forecasting
- Bookkeeping and financial reporting
- Managing expenses and income
- Obtaining funding or investment
- Handling taxes and compliance

4. Human Resource Management (HRM)

- Deals with the company's **people and workforce**
- **Key Tasks:**
- Recruitment and hiring
- Training and development
- Payroll and benefits
- Employee relations
- Performance appraisal

5. Sales

- Converts leads into **actual revenue** by selling products/services
- **Key Tasks:**
- Meeting sales targets
- Negotiating with clients
- Developing customer base
- After-sales service

6. Information Technology (IT)

- Manages the **technical infrastructure** of the business
- **Key Tasks:**
- Maintaining hardware and software
- Cybersecurity
- Data management
- Supporting online business tools

7. Research and Development (R&D)

- Focuses on **innovation and product improvement**
- **Key Tasks:**
- New product design
- Improving existing services
- Testing prototypes
- Analyzing market needs

8. Customer Service

- Handles **customer interactions and satisfaction**
- **Key Tasks:**
- Responding to queries and complaints
- Managing returns and feedback
- Building loyalty and trust

Introduction to Business MGT211

Theme 4

Functional Areas of a Business

Module 60

Role of Management in Business

- Management plays a **central role** in the success, stability, and growth of any business. It involves **planning, organizing, leading, and controlling** all resources to achieve the organization’s goals efficiently and effectively.

Role of Management in Business

- **1. Planning**
- **Defines business goals and sets strategies** to achieve them
- Helps anticipate risks, allocate resources, and make informed decisions
- 📝 Example:
- A manager plans to launch a new product based on market research and sales forecasts.

Role of Management in Business

- **2. Organizing**
- **Structures resources** (people, tools, departments) to carry out the plan
- Involves assigning roles, creating departments, and setting reporting lines
- 📝 Example:
- Dividing a company into finance, marketing, and operations departments.

Role of Management in Business

- **3. Leading (or Directing)**
- **Guides, motivates, and supervises** employees
- Builds morale, resolves conflicts, and ensures team alignment with goals
- 📝 Example:
- A marketing manager inspires their team to meet a campaign deadline.

Role of Management in Business

- **4. Controlling**
- **Monitors performance**, compares it to goals, and corrects deviations
- Ensures that the business stays on track and resources are used properly
- 📝 Example:
- Reviewing monthly sales targets and adjusting strategies if targets are missed.

Key Roles of Management in Business

Role	Description
Goal Achievement	Ensures business objectives are clearly set and met
Resource Management	Allocates human, financial, and material resources efficiently
Decision-Making	Makes critical choices in uncertainty and competition
Productivity & Growth	Boosts output through strategy and innovation
Team Coordination	Brings departments and employees together for a unified vision
Risk Management	Identifies and manages risks proactively
Communication	Facilitates smooth internal and external communication
Adaptation & Change	Helps the business respond to market and technology changes

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Theme 4

Functional Areas of a Business

Module 61

Managerial Roles — *(As defined by Henry Mintzberg)*

- The concept of **managerial roles** was introduced by management expert **Henry Mintzberg**, who identified **10 distinct roles** that managers perform in any organization. These roles are grouped into **three categories**: interpersonal, informational, and decisional.

1. Interpersonal Roles

Role	Description	Example
Figurehead	Represents the organization in formal or symbolic activities	Attending official ceremonies or signing documents
Leader	Directs, motivates, and develops subordinates	Providing guidance to a team, conducting appraisals
Liaison	Maintains a network of contacts outside the company	Meeting with partners, clients, or government officials

2. Informational Roles

- Focus on **gathering, receiving, and distributing** information.

Role	Description	Example
🕵️‍♂️ **Monitor**	Scans the environment for information	Reading industry reports or employee feedback
📤 **Disseminator**	Shares information with team members and departments	Briefing employees on new policies
🎙️ **Spokesperson**	Represents the organization to outsiders	Addressing media or presenting at conferences

3. Decisional Roles

- Related to **making choices and solving problems**.

Role	Description	Example
Entrepreneur	Initiates change and innovation	Proposing a new product or entering a new market
Disturbance Handler	Responds to unexpected issues and crises	Handling a customer complaint or conflict
Resource Allocator	Distributes organizational resources (time, money, staff)	Approving budgets, assigning staff to tasks
Negotiator	Engages in negotiations inside or outside the firm	Finalizing a deal with a supplier or union

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Theme 4

Functional Areas of a Business

Module 62

Managerial Skills – *Types & Importance*

- To be effective, a manager must possess a combination of skills that help them plan, lead, organize, and control business activities. These are generally classified into **three main types**, as introduced by **Robert L. Katz**.

1. **Technical Skills**

- The ability to use specific knowledge, tools, and techniques related to the job.
- ✅ **Examples:**
- Using software (e.g., Excel, accounting tools)
- Operating machinery (for production managers)
- Understanding product design or engineering (in technical firms)
- 🔹 **Most important at the lower management level** where hands-on work is required.

2. **Human (Interpersonal) Skills**

- The ability to work well with others, communicate, motivate, and lead effectively.
- ✅ **Examples:**
- Teamwork and collaboration
- Conflict resolution
- Negotiation and active listening
- Emotional intelligence
- **Crucial at all levels**, especially middle managers who coordinate between teams and upper management.

3. **Conceptual Skills**

- The ability to see the organization as a whole and understand how different parts are connected.
- ✅ **Examples:**
- Strategic thinking
- Decision-making
- Analyzing market trends and competition
- Developing new business models
- 🌐 **Most important at the top management level** where strategic decisions are made.

Other Important Managerial Skills

Skill Type	Description
Decision-Making	Choosing the best course of action among alternatives
Time Management	Prioritizing tasks and managing workload efficiently
Leadership	Inspiring and guiding others toward a common goal
Communication	Clear verbal and written communication with stakeholders
Problem-Solving	Identifying and resolving business challenges
Delegation	Assigning the right tasks to the right people
Adaptability	Responding quickly to change or crisis situations

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Theme 4

Functional Areas of a Business

Module 63

Trends in Management and Leadership

Trend	Description
Remote & Digital Leadership	Managing virtual/hybrid teams
Empathetic Leadership	Emotional intelligence, employee well-being
Agile Management	Fast, adaptive decision-making
Data-Driven Leadership	Using data and analytics for decisions
Flat Organizational Structure	Less hierarchy, more teamwork
Continuous Learning	Lifelong upskilling and coaching
Ethical & Sustainable Leadership	Focus on ESG, transparency, social impact
AI & Automation	Leveraging tech in leadership tasks
Purpose-Driven Leadership	Aligning business with meaningful goals
Coaching Over Controlling	Developing people, not just directing them

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Theme 4

Functional Areas of a Business

Module 64

Achieving High Performance Through Human Resource Management (HRM)

- Human Resource Management (HRM) plays a **strategic role** in achieving high performance by aligning employee capabilities, motivation, and engagement with business goals. It's no longer just about hiring and payroll—HR is now a **performance enabler**.
- **High-performing organizations** treat HR as a strategic partner, not just an administrative department.
  They build an environment where **people thrive**, and in return, the **business thrives**.

1. Strategic Recruitment & Selection

- Hiring the **right people for the right roles** is the foundation of performance.
- ✅ Focus:
- Skills and culture-fit
- Long-term potential
- Data-driven screening and assessments
- 🔍 Tools: Behavioral interviews, AI-based recruitment, psychometric testing

2. Employee Training & Development

- Investing in skill-building increases **productivity, innovation, and retention**.
- ✅ Focus:
- Onboarding & orientation
- Technical, soft skills, and leadership training
- Continuous learning through e-learning platforms
- 🔍 Tools: LMS (Learning Management Systems), workshops, certifications

3. Performance Management Systems

- Setting **clear expectations and measurable goals** drives accountability.
- ✓ Includes:
- KPIs (Key Performance Indicators)
- SMART goals
- Regular performance appraisals
- 360-degree feedback
- 🔍 Focus: Not just evaluation, but **coaching and growth**

4. Compensation and Rewards

- Linking performance with **financial and non-financial rewards** boosts motivation.
- ✅ Includes:
- Competitive salary & bonuses
- Recognition programs (Employee of the Month, etc.)
- Benefits (health, travel, remote options)
- 🔍 Fair, transparent, and aligned with business objectives

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Functional Areas of a Business

Module 65

5. Employee Engagement & Motivation

- Engaged employees are **87% more likely** to stay and perform at a higher level.
- ✅ Focus:
- Open communication & feedback culture
- Work-life balance
- Inclusion, belonging, and respect
- 🔍 Use of surveys, team-building activities, wellness programs

6. Talent Retention & Career Growth

- Developing **clear career paths** and providing opportunities for advancement helps retain top talent.
- ✅ Includes:
- Mentorship & coaching
- Promotions based on merit
- Internal mobility programs
- 🔍 Career planning tools and succession planning

7. Use of HR Analytics

- Data helps HR teams make **informed decisions** about hiring, retention, and productivity.
- ✅ Examples:
- Turnover rate analysis
- Employee satisfaction metrics
- Training effectiveness tracking

8. Strong Organizational Culture

- A positive culture aligned with company values encourages high performance.
- ✓ Includes:
- Shared mission and vision
- Leadership behavior as role model
- Fair policies and inclusive environment

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Theme 4

Functional Areas of a Business

Module 66

Achieving High Performance Through Human Resource Management (HRM)

HRM Practice	Contribution to High Performance
Recruitment & Selection	Brings in top talent aligned with goals
Training & Development	Enhances employee capabilities
Performance Management	Ensures accountability and continuous improvement
Compensation & Benefits	Motivates and retains high performers
Employee Engagement	Builds loyalty and productivity
Career Development	Fosters long-term commitment
HR Analytics	Enables data-driven decision making
Organizational Culture	Creates alignment and collaboration

Trends in Human Resource Management (HRM) and Labor

Trend	Description
Digital HR	Automation, AI, cloud-based HR systems
Remote/Hybrid Work	Flexible work options and remote management
Employee Experience	Holistic view of employee well-being and engagement
Skills-Based Hiring	Focus on capabilities over degrees
Diversity & Inclusion	Building fair, equal, inclusive work environments
Gig Economy	Flexible, freelance employment trends
People Analytics	Using data to guide HR decisions
Employee Well-being	Mental and physical health support
Agile HR	Continuous feedback and development
Legal & Labor Compliance	Adapting to new labor laws and social protections

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Theme 4

Functional Areas of a Business

Module 67

Motivating Employees – Key to High Performance

Motivation Method	Examples	Key Benefit
Monetary Rewards	Bonuses, raises, incentives	Quick performance boost
Non-Monetary Rewards	Praise, flexibility, recognition	Emotional engagement
Career Development	Training, promotions	Long-term growth motivation
Purpose & Values	Mission-driven work	Deep motivation and loyalty
Communication	Feedback, inclusion	Trust and belonging
Safe Environment	Mental health, respectful culture	Emotional security
Team Culture	Bonding, fun, and support	Collaboration and morale

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Theme 4

Functional Areas of a Business

Module 68

Early Theories of Motivation

- Early motivation theories laid the foundation for understanding **why people work, how they behave, and what drives them to perform**. These theories focused on **human needs, behavior, and workplace incentives**.

1. Maslow’s Hierarchy of Needs (1943)

- Proposed by **Abraham Maslow**, this theory suggests that people are motivated by **five levels of needs**, arranged in a hierarchy.
- **From basic to advanced:**
- **Physiological Needs** – Food, water, rest, salary
- **Safety Needs** – Job security, health, protection
- **Love & Belonging** – Friendship, teamwork, relationships
- **Esteem** – Recognition, status, responsibility
- **Self-Actualization** – Personal growth, creativity, achieving potential
- ✓ Motivation increases as each lower level is satisfied.

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Functional Areas of a Business

Module 69

2. Herzberg's Two-Factor Theory (1959)

- Developed by **Frederick Herzberg**, this theory divides job factors into two categories:
- 💼 **1. Hygiene Factors *(prevent dissatisfaction)***
- Salary
- Company policies
- Job security
- Working conditions
- 🚀 **2. Motivators *(drive satisfaction and performance)***
- Achievement
- Recognition
- Responsibility
- Personal growth
- Advancement
- ✅ Hygiene factors **don't motivate** but are necessary; motivators **truly inspire performance**.

3. McGregor's Theory X and Theory Y (1960)

Theory X	Theory Y
Workers are lazy, dislike work	Workers are self-motivated, creative
Need strict supervision	Want responsibility and autonomy
Prefer to be directed	Thrive under trust and freedom

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Theme 4

Functional Areas of a Business

Module 70

4. McClelland's Theory of Needs (1961)

- Proposed by **David McClelland**, this theory focuses on **three dominant motivators** in individuals:
- **Need for Achievement (nAch)** – Desire to accomplish and excel
- **Need for Affiliation (nAff)** – Desire to form close relationships
- **Need for Power (nPow)** – Desire to influence and control others
- ✓ People are driven by different needs, and managers can tailor roles accordingly.

5. Taylor’s Scientific Management (1911)

- Developed by **Frederick W. Taylor**, it focused on **efficiency and monetary incentives**.
- **Core Ideas:**
- Employees are motivated primarily by **money**
- Break work into small tasks for efficiency
- Use **scientific methods** to determine best practices
- ✓ Criticized for ignoring human and emotional aspects.

Early Theories of Motivation

Theory	Key Focus	Main Idea
Maslow's Hierarchy	Human needs	People must satisfy basic needs before higher ones
Herzberg’s Two-Factor	Job satisfaction	Hygiene removes dissatisfaction; motivators drive performance
McGregor’s Theory X/Y	Management style	Theory Y encourages trust and autonomy
McClelland’s Needs Theory	Achievement, Affiliation, Power	Motivation depends on dominant personal needs
Taylor’s Scientific Mgmt	Work efficiency, money	Motivation through money and task optimization

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Theme 4

Functional Areas of a Business

Module 71

The Hawthorne Studies

- Conducted between **1924 and 1932** at the **Hawthorne Works** of Western Electric Company in Chicago, these studies transformed how we understand **motivation, productivity, and human behavior in the workplace**.
- **Background & Purpose**
- Originally designed to examine the effects of **physical work conditions (like lighting)** on employee productivity. But researchers discovered **social and psychological factors** played a more powerful role than expected.

Key Findings (Hawthorne Effect)

Key Insight	Explanation
Hawthorne Effect	When people know they are being observed, they perform better
Social Factors Matter	Morale, team dynamics, and relationships affect productivity
Informal Groups Influence	Peer pressure and group norms impact behavior more than management rules
Employee Voice is Valuable	Listening to employees boosts motivation and engagement

Impact on Management Theory

- The Hawthorne Studies:
- Laid the foundation for the **Human Relations Movement**
- Shifted focus from machines & tasks to **people, motivation, and relationships**
- Challenged **Taylor's Scientific Management**, which focused mainly on efficiency and money
- **Final Thought:**
- **"People are not machines."**
  The Hawthorne Studies were the first to show that **respect, attention, and social dynamics** are powerful tools for motivating employees.

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Theme 4

Functional Areas of a Business

Module 72

Contemporary Views on Motivation

- Modern motivation theories go beyond basic needs and salary—they focus on **individual goals, fairness, mental well-being, and the work environment**. These views help businesses create more dynamic and effective workplaces.
- Contemporary motivation theories show that **respect, fairness, goals, growth, and purpose** are as important as pay.
  Great leaders **understand human psychology** and design workplaces that bring out the best in people.

Contemporary Views on Motivation

Theory	Focus Area	Motivation Depends On…
Equity Theory	Fairness and justice	Comparison with others
Expectancy Theory	Effort-to-reward link	Belief in success and valuable rewards
Goal-Setting Theory	Clear objectives	Specific, challenging goals and feedback
Self-Determination Theory	Inner needs	Autonomy, competence, relatedness
Job Characteristics Model	Job design	Meaningful, autonomous, and skillful jobs
Positive Reinforcement	Behavior shaping	Rewards for good performance

Trends in Employee Motivation

- In today's dynamic work environment, employee motivation is no longer driven by salary alone. Businesses are adopting **modern, human-centered strategies** to inspire, retain, and engage talent.
- Here are the **key trends in employee motivation** shaping the future of work:

Trends in Employee Motivation

Trend	Motivation Strategy
Personalized Motivation	Tailored rewards and recognition
Purpose-Driven Work	Connecting roles to meaningful missions
Flexible Work	Autonomy in schedule and location
Recognition Culture	Regular praise and appreciation
Mental Health Support	Wellness and emotional well-being programs
Learning & Growth	Upskilling, training, career development
Transparent Compensation	Fair and clear reward systems
Gamification	Making work engaging and fun
Employee Empowerment	Involving staff in decisions
Diversity & Inclusion	Creating a sense of belonging and equality

Introduction to Business MGT211

Theme 5

Operations Management for a Business

Module 73

Operations Management for a Business

- **Operations Management (OM)** is the branch of management concerned with **designing, overseeing, and controlling the processes** involved in the production of goods and services. It ensures that business operations are **efficient, cost-effective, and aligned with customer expectations**.

Operations Management for a Business

- **Definition**
- **Operations Management** is the process of planning, organizing, and supervising the production, manufacturing, or provision of services.
  It focuses on **transforming inputs (resources)** into **outputs (products/services)** efficiently.

Key Functions of Operations Management

Function	Description
Product/Service Design	Developing products/services that meet market needs
Process Design	Designing efficient workflows and procedures
Capacity Planning	Determining the optimal production level
Inventory Management	Controlling raw materials, work-in-progress, and finished goods
Quality Management	Ensuring products/services meet quality standards
Supply Chain Management	Managing flow of materials from suppliers to customers
Scheduling	Planning when and how operations will be carried out
Maintenance	Ensuring equipment and systems run smoothly

Goals of Operations Management

- ✓ **Efficiency** – Reduce waste, time, and cost
- ✓ **Quality** – Deliver consistent, reliable products/services
- ✓ **Customer Satisfaction** – Meet or exceed customer expectations
- ✓ **Flexibility** – Adapt to changes in demand or market conditions
- ✓ **Innovation** – Improve processes and introduce new techniques

Introduction to Business MGT211

Theme 5

Operations Management for a Business

Module 74

Operations Management in Different Industries

Industry	Example of Operations Management Activity
Manufacturing	Managing production lines, machinery, and quality control
Retail	Inventory management, layout design, supplier relations
Healthcare	Patient flow management, equipment use, scheduling doctors
Hospitality	Room bookings, housekeeping schedules, food service optimization
IT & Services	Workflow automation, client onboarding, support ticket handling

Importance of Operations Management

- Reduces **operational costs**
- Improves **productivity and profits**
- Ensures **quality and consistency**
- Enhances **customer satisfaction**
- Supports **business growth and scalability**

Modern Trends in Operations Management

- ✓ **Automation & AI**
- ✓ **Lean Management & Six Sigma** (minimize waste)
- ✓ **Just-in-Time (JIT) inventory systems**
- ✓ **Sustainability in operations** (green logistics, eco-packaging)
- ✓ **ERP Systems** (like SAP, Oracle) for process integration

Example

- **A bakery's operations manager** is responsible for:
- Ordering ingredients (inventory management)
- Ensuring ovens and mixers work (maintenance)
- Hiring and scheduling staff (capacity planning)
- Ensuring all bread is baked on time and is fresh (quality control)

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Theme 5

Operations Management for a Business

Module 75

The Production Process: How Do We Make It?

- Production is the process of transforming **inputs** (raw materials, labor, energy, etc.) into **outputs** (finished goods or services) through a series of organized steps.

1. Inputs

- These are the resources used to produce goods or services:
- **Raw Materials** (e.g., wood, metal, plastic)
- **Human Resources** (labor, skills)
- **Capital** (machinery, equipment)
- **Information** (designs, specifications)
- **Energy** (electricity, fuel)

2. Conversion Process (Transformation)

- This is the core of the production process, where inputs are transformed. It involves:
- **Processing** – Physically changing raw materials (cutting, molding, assembling)
- **Manufacturing Techniques** – Using machines, labor, or automation
- **Quality Checks** – Monitoring and adjusting to maintain standards
- *Example:* Turning cotton into fabric, then stitching it into clothes.

3. Outputs

- These are the final goods or services produced:
- **Finished Products** (e.g., smartphones, cars, clothes)
- **Services** (e.g., repair work, education, hospitality)
- **4. Feedback and Control**
- At this stage, managers evaluate the results to:
- Ensure quality standards are met
- Improve efficiency
- Adjust for future production (based on customer feedback or market demand)

Types of Production Processes

Type	Description	Example
Job Production	One-off, custom products	Designer furniture
Batch Production	Groups of items made together	Bakery goods
Mass Production	Large-scale, repetitive	Smartphones
Continuous Production	Non-stop, high-volume	Oil refining

Supporting Elements

- **Production Planning** – Scheduling and resource allocation
- **Inventory Management** – Ensuring materials are available
- **Maintenance** – Keeping equipment running
- **Logistics** – Moving materials in and finished goods out

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Theme 5

Operations Management for a Business

Module 76

Location: Where Do We Make It?

- The **location** of a business's production facility is a critical decision. It affects **costs, efficiency, logistics, and customer satisfaction**. Once chosen, it's usually hard and expensive to change — so companies must get it right the first time.

Why Is Location Important?

- Affects **production cost**
- Determines **proximity to customers & suppliers**
- Influences **labor availability and wages**
- Impacts **delivery time** and **customer service**
- Ties into **legal and environmental regulations**

Factors Influencing Location Decisions

Factor	Explanation	Example
Proximity to Raw Materials	Reduces transportation cost	Cement factories near limestone quarries
Proximity to Markets	Faster delivery, lower shipping costs	Soft drink plants close to urban areas
Labor Availability & Cost	Skilled or cheap labor depending on need	Tech firms near universities
Infrastructure	Roads, ports, utilities, internet	Ports for exporting/importing
Government Policies & Taxes	Incentives or restrictions	Tax-free zones, SEZs
Energy Supply	Essential for production operations	Factories need steady electricity
Environmental Regulations	Avoid fines or legal issues	Clean industries near residential areas
Climate	Some industries require specific weather	Wine production in specific climates

Types of Facility Locations

- **Urban** – Close to labor and markets; higher cost
- **Rural** – Cheaper land/labor; further from market
- **International** – Lower costs or access to global markets
- **Examples**
- **Apple** assembles iPhones in China due to skilled labor and supply chain hubs.
- **Nestlé** sets up plants close to dairy farms for fresh milk.
- **Textile industries** often locate in South Asia due to cheap labor and export zones.

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Operations Management for a Business

Module 77

Pulling It Together: Resource Planning

- **Resource Planning** is the process of identifying, organizing, and managing all the resources needed for efficient production. It ensures that the **right resources are available at the right time** to meet customer demand and production goals.

What Is Resource Planning?

- Resource planning is about determining:
- **What** resources are needed (materials, labor, machines)
- **How much** is needed
- **When** and **where** they're needed
- It helps avoid problems like:
- Overproduction or underproduction
- Shortages of materials or workers
- High costs due to waste or idle time

Types of Resources

- **Human Resources** – Workers, technicians, supervisors
- **Material Resources** – Raw materials, components, packaging
- **Capital Resources** – Machinery, equipment, buildings
- **Information Resources** – Data, software, schedules
- **Time** – Project timelines, delivery deadlines

Steps in Resource Planning

- **Forecast Demand**
  Predict customer demand to estimate needed resources.
- **Assess Current Resources**
  What do we already have (inventory, staff, machines)?
- **Determine Gaps**
  What's missing to meet future production goals?
- **Develop a Resource Plan**
  Allocate budgets, order supplies, assign labor.
- **Implement & Monitor**
  Adjust as needed to stay on track.

Tools Used in Resource Planning

- **MRP (Material Requirements Planning)** – Ensures materials are available
- **ERP (Enterprise Resource Planning)** – Integrates all resources across departments
- **Gantt Charts** – Visual scheduling tool
- **Capacity Planning Software** – Matches output with available capacity

Why Is It Important?

- ✓ Avoids production delays
  ✓ Controls costs
  ✓ Ensures timely delivery
  ✓ Improves overall efficiency
  ✓ Boosts customer satisfaction

Example

- A bakery forecasts higher demand during Eid. **Resource Planning** would involve:
- Hiring extra staff
- Ordering more flour and sugar
- Scheduling longer baking hours
- Coordinating delivery routes

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Theme 5

Operations Management for a Business

Module 78

Transforming the Factory Floor with Technology

- Technology is revolutionizing how products are made — turning traditional factories into **smart, efficient, and highly automated systems**. This transformation is often referred to as **Industry 4.0**.
- **What Is Industry 4.0?**
- Industry 4.0 refers to the **fourth industrial revolution**, where technologies like automation, data, and connectivity are used to create **“smart factories.”**

Key Technologies Changing the Factory Floor

Technology	Function	Impact
Automation & Robotics	Machines perform repetitive tasks	Increases speed, accuracy, and safety
IoT (Internet of Things)	Devices/machines connected online	Real-time monitoring and control
AI & Machine Learning	Smart decision-making systems	Predicts problems, improves quality
3D Printing (Additive Manufacturing)	Builds items layer-by-layer	Custom, on-demand production
Big Data & Analytics	Collects and analyzes factory data	Better planning and efficiency
Cloud Computing	Stores and accesses data remotely	Real-time collaboration and updates
Augmented Reality (AR)	Digital overlays for training/repairs	Improves worker accuracy and training
Digital Twins	Virtual models of real machines	Test and simulate before real production

Benefits of Technology on the Factory Floor

- ✓ Faster production
  ✓ Lower errors and waste
  ✓ Real-time decision making
  ✓ Predictive maintenance (less downtime)
  ✓ Higher product quality
  ✓ Safer working conditions
  ✓ Flexible and custom production

Examples

- **Tesla** uses robots, AI, and digital twins for car assembly.
- **Unilever** uses IoT and data analytics to improve energy use and product quality.
- **Siemens** created a fully automated “smart factory” in Germany.
- **Challenges**
- ⚠ High initial investment
  ⚠ Training workers to use new tech
  ⚠ Cybersecurity risks
  ⚠ Need for skilled technical staff

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Theme 5

Operations Management for a Business

Module 79

Using Supply Chain Management (SCM) to Increase Efficiency and Customer Satisfaction

- **Supply Chain Management (SCM)** refers to the **planning, coordination, and control** of all activities involved in sourcing, producing, and delivering goods or services — from **raw materials** to the **final customer**.
- In today's competitive market, companies use SCM not just to reduce costs, but to enhance **efficiency**, **speed**, and **customer satisfaction**.

What is Supply Chain Management (SCM)?

- **SCM** is the **management of the flow of goods, services, and information** across the entire supply chain — from suppliers to manufacturers to retailers to consumers.
- It involves:
- Procurement
- Manufacturing
- Transportation
- Warehousing
- Inventory control
- Order fulfillment

How SCM Increases Efficiency

SCM Strategy	Resulting Efficiency Benefit
Automation & Technology	Reduces human error, speeds up processes
Just-In-Time (JIT)	Lowers inventory costs by receiving goods only when needed
Forecasting & Demand Planning	Reduces overproduction or stockouts
Centralized Warehousing	Speeds up delivery and reduces duplication
Supplier Integration	Builds stronger, faster supplier relationships
Efficient Logistics	Reduces delivery times and fuel costs
Lean Inventory	Avoids waste and improves turnover

How SCM Enhances Customer Satisfaction

SCM Action	Customer Benefit
Faster Delivery Times	Customers receive products quickly and reliably
Real-Time Tracking	Increases transparency and trust
Accurate Order Fulfillment	Reduces wrong or delayed shipments
Flexible Return Processes	Increases customer confidence and satisfaction
Product Availability	Ensures popular products are always in stock
Cost Efficiency	Lower supply costs → competitive pricing for buyers

Technologies Used in Modern SCM

Technology	Function
ERP Systems	Manage business processes in real-time
RFID & Barcodes	Track inventory movement
Artificial Intelligence (AI)	Predict demand and automate operations
IoT (Internet of Things)	Real-time asset and delivery monitoring
Blockchain	Secures transactions and improves traceability
Cloud Computing	Enhances coordination and data sharing

Real-World Example: Amazon

- Amazon uses advanced SCM strategies like:
- **Automated warehouses**
- **Robotic picking systems**
- **AI-driven inventory forecasting**
- **Fast last-mile delivery (Prime)**
  Result: Fast delivery, high product availability, and superior customer experience.

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Theme 6

Marketing a Business

Module 80

Core Ideas of the Marketing Concept

- The Marketing Concept is a customer-centered strategy where businesses identify, understand, and meet the needs and wants of their target market more effectively than competitors.
- Customer Orientation→ Focus on what the customer needs, not just what you sell.
- Integrated Marketing→ All departments (sales, R&D, service) work together to serve the customer.
- Profit through Customer Satisfaction→ Long-term profits come from happy, loyal customers.

Difference Between Selling Concept & Marketing Concept

Selling Concept	**Marketing Concept**
Focus on the product	Focus on the customer
Aim: Sell what's made	Aim: Make what will sell
Emphasis on sales	Emphasis on customer needs
Short-term gain	Long-term relationships

The Societal Marketing Concept

- This is an extension of the marketing concept. It adds **social responsibility** — meeting customer needs in a way that also benefits society.
- Example: Promoting eco-friendly products or reducing plastic use.
- **In Summary:**
- Know your customer
- Create value they care about
- Deliver it better than anyone else
- Build long-term trust and profit

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Theme 6

Marketing a Business

Module 81

What Is the Marketing Mix?

- The **Marketing Mix** is a foundation of marketing strategy. It helps businesses create the **right product**, at the **right price**, in the **right place**, with the **right promotion** to meet customer needs and achieve business goals.
- The **Marketing Mix** is a set of controllable tools — often grouped as the **4 P's** — that companies use to influence buyers' decisions.

The 4 P's of the Marketing Mix

P	Definition	Key Questions to Ask
1. Product	What you offer to satisfy customer needs	What are the features, quality, brand, and design? What problem does it solve?
2. Price	The amount customers pay for the product	What is the value to the customer? Is it affordable or premium?
3. Place	Where and how the product is delivered to customers	Where do customers buy it? Online? In-store? Through distributors?
4. Promotion	The methods used to communicate and persuade customers	How do you inform or convince people? Ads? Social media? Email?

Example: Coffee Shop Marketing Mix

Element	Coffee Shop Example
Product	Freshly brewed coffee, pastries, eco-friendly cups
Price	Mid-range, loyalty discounts, bundles
Place	Physical café + online delivery via app
Promotion	Instagram ads, influencer reviews, student discounts

Marketing Mix for a Dahi Bhalla Shop

4 P's (Business Focus)	Details
1. Product	Fresh, homemade Dahi Bhalla (soft lentil dumplings topped with yogurt, spices, chutneys)
Additional items: Chana chaat, papri chaat, cold drinks	
2. Price	Affordable pricing to attract daily customers
Combo deals (e.g., Dahi Bhalla + drink)	
Loyalty card: Buy 5, get 1 free	
3. Place	Small physical shop near a school, market, or busy street
Delivery via food apps (e.g., Foodpanda, Cheetay)	
Stalls at local events/festivals	
4. Promotion	Social media presence (Instagram, Facebook, TikTok)
Discounts for students	
Referral rewards for customers	
Flyers and banners near local colleges and offices	

Why the Marketing Mix Matters

- ✓ Ensures alignment with customer needs
- ✓ Helps differentiate from competitors
- ✓ Provides a framework for decision-making
- ✓ Supports consistent branding and messaging

The 4 P’s and Their Corresponding 4 C’s

- The 4 P’s of marketing focus on the business perspective, while the 4 C’s shift the focus to the customer’s point of view. Together, they help create a balanced marketing strategy that is both customer-driven and business-smart.

Comparison Table: 4 P’s vs. 4 C’s

4 P’s (Business Focus)	↔	4 C’s (Customer Focus)	Meaning
1. Product	↔	**1. Customer Needs/Wants**	Focus on solving customer problems rather than just offering a product
2. Price	↔	**2. Cost to the Customer**	Total cost includes price, time, effort, and emotional cost
3. Place	↔	**3. Convenience**	Make it easy for the customer to find and buy the product
4. Promotion	↔	**4. Communication**	Two-way, value-based interaction rather than one-way promotion

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Module 82

Expanding to the 7 P’s (for Services)

Extra P	Definition
People	Staff, customer service, interactions
Process	How the service is delivered (speed, ease)
Physical Evidence	Tangible cues (receipts, website, ambiance)

Understanding Buyer Behavior in Marketing

- Buyer behavior refers to how individuals, groups, or businesses make decisions about purchasing goods and services. Marketers study buyer behavior to understand why people buy, what they buy, when, where, and how often—so they can craft more effective marketing strategies.

Why Is Understanding Buyer Behavior Important?

- ✓ Helps create better products and services
  ✓ Improves targeting and personalization
  ✓ Increases customer satisfaction and loyalty
  ✓ Boosts marketing efficiency and sales conversion

Factors Influencing Buyer Behavior

Factor	Influence
Cultural	Traditions, values, religion, lifestyle
Social	Family, friends, influencers, peer pressure
Personal	Age, income, job, education, personality
Psychological	Motivation, perception, beliefs, emotions
Marketing Mix	Product quality, price, advertising, accessibility

Types of Buyer Behavior

Type	Description	Example
Complex Buying Behavior	High involvement, expensive product, lots of research	Buying a car or house
Dissonance-Reducing	High involvement, few choices, buyer fears post-purchase regret	Choosing a brand of refrigerator
Habitual Buying Behavior	Low involvement, little thought	Buying the same toothpaste repeatedly
Variety-Seeking Behavior	Low involvement but likes change	Trying new chips or soda flavors

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Marketing a Business

Module 83

Stages of the Buyer Decision Process

- **Problem Recognition**
  – Buyer realizes they need something
  “I’m always tired—maybe I need a multivitamin.”
- **Information Search**
  – Looking for options (online, reviews, friends)
  “Let me Google top multivitamin brands.”
- **Evaluation of Alternatives**
  – Comparing features, prices, and brands
  “Brand A is cheaper, but Brand B has better reviews.”

Stages of the Buyer Decision Process

- **Purchase Decision**
  – Final choice based on value, offers, or emotion
  “I’ll buy Brand B from Daraz with a discount code.”
- **Post-Purchase Behavior**
  – Satisfaction or regret; may lead to loyalty or switching
  “It works well—I’ll recommend it to others.”

Example: Dahi Bhalla Buyer Behavior

- **Problem:** Hungry after school or office
- **Search:** Sees nearby shop on Google or Instagram
- **Evaluate:** Compares photos, reviews, or prices
- **Purchase:** Orders from the most appealing/affordable one
- **Post-Purchase:** Posts review or tells friends if satisfied

How Marketers Use This Info

- Run targeted ads based on behavior
- Offer personalized deals or bundles
- Design customer-friendly websites
- Use feedback to improve service
- Build loyalty programs

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Marketing a Business

Module 84

Market Segmentation: Dividing to Conquer

- **Market Segmentation** is the process of **dividing a broad market into smaller groups** (segments) of consumers who have similar needs, characteristics, or behaviors — so that businesses can **target them more effectively**.
- Instead of trying to sell to everyone, you focus on specific groups that are most likely to buy.
- **Market Segmentation** is identifying and dividing a market into sub-groups based on shared traits such as demographics, interests, location, or behavior.

Why Segment the Market?

- ✓ Better customer understanding
  ✓ More focused marketing
  ✓ Improved customer satisfaction
  ✓ Increased conversion and loyalty
  ✓ Efficient use of marketing budget

Major Types of Market Segmentation

Type	What It's Based On	Example
1. Demographic	Age, gender, income, education, religion	Targeting skincare to women aged 18–35
2. Geographic	Country, city, climate, region	Promoting warm jackets in colder regions
3. Psychographic	Lifestyle, interests, personality, values	Targeting fitness products to health-conscious people
4. Behavioral	Buying habits, usage, brand loyalty, response to ads	Offering discounts to repeat online buyers

Example: Market Segmentation for a Dahi Bhalla Shop

Segment Type	Example Group
Demographic	Students, working adults (ages 15–35)
Geographic	People living near schools, offices, or marketplaces
Psychographic	Foodies who enjoy street food and trying spicy snacks
Behavioral	Loyal evening customers who come daily after work

Steps to Segment a Market

- **Identify market needs**
- **Group customers based on similarities**
- **Profile each segment clearly**
- **Evaluate segment attractiveness**
- **Choose target segments**
- **Design marketing mix for each segment**

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Module 85

Targeting and Positioning in Marketing

- After dividing the market through **segmentation**, the next steps are **targeting** and **positioning** — two essential strategies in the **STP Model** (Segmentation → Targeting → Positioning).
- These help businesses **focus on the right audience** and **present their product in the most appealing way**.

Types of Targeting Strategies

Strategy	Description	Example
Mass Marketing	Targeting everyone with one product/message	Coca-Cola's global ads
Segmented (Differentiated) Marketing	Targeting multiple segments with different offers	Nike: shoes for runners, kids, athletes
Niche Marketing	Focusing on one small, well-defined segment	Vegan skincare brand for eco-conscious women
Micromarketing	Personalizing for individuals or locations	Custom offers via email or store-level promotions

Positioning: Shaping How You're Perceived

- **Positioning** is how you **want your target market to view your brand or product** in relation to competitors.
- It answers:
  "What makes us different and better in the minds of our customers?"

Steps in Positioning:

- **Identify your unique value (USP)**
- **Understand your competition**
- **Choose your competitive advantage (price, quality, service, etc.)**
- **Craft a clear positioning statement**
- **Communicate it across all marketing channels**

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Module 86

What Is a Product?

- A **product** is **anything that can be offered to a market** to satisfy a **need or want**. It can be a **physical good**, a **service**, or even an **idea**.
- A **product** is a set of tangible and/or intangible features that provide **value** to a customer.

Types of Products

Type	Description	Examples
Physical Goods	Tangible items	Shoes, smartphones, food
Services	Intangible offerings	Haircuts, tutoring, banking
Ideas	Concepts or causes	Public health campaigns, environmental messages
Experiences	Events or sensations	Theme parks, concerts, vacations
Digital Products	Online assets	eBooks, apps, software, courses

Levels of a Product (Kotler's Model)

- **Core Product** – The main **benefit** or need the product satisfies
  ☞ *Thirst-quenching in a soft drink*
- **Actual Product** – The physical item or service including brand, features, design
  ☞ *A Coca-Cola can with branding, taste, and packaging*
- **Augmented Product** – Additional services or value (warranty, delivery, support)
  ☞ *Free home delivery or loyalty points on purchase*

Product Classification (Based on Consumer Use)

Type	Description	Examples
Convenience Products	Bought frequently with little effort	Bread, snacks, soap
Shopping Products	Compared before purchase	Clothes, electronics
Specialty Products	Unique, brand-specific, high-involvement	Luxury cars, designer bags
Unsought Products	Not actively sought until needed	Insurance, funeral services

What Makes a Great Product?

- ✓ Solves a real problem
  ✓ Easy to use or access
  ✓ High quality or value
  ✓ Unique selling proposition (USP)
  ✓ Strong branding and packaging

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Module 87

Example: Product Breakdown for a Mobile Phone

- **1. Core Product (Basic Benefit)**
- What is the main value or benefit the customer receives?
- ✓ **Communication** (calls, messaging)
  ✓ **Connectivity** (internet access, social media)
  ✓ **Convenience & productivity** (camera, apps, navigation, email)
  ✓ **Entertainment** (music, games, video, content creation)

Example: Product Breakdown for a Mobile Phone

- **2. Actual Product**
- The **physical device** and all its features, design, and branding.
- Brand name: **Apple** / **Samsung**
- Model: **iPhone 15**, **Galaxy S24**, etc.
- Operating system: iOS / Android
- Design: Touchscreen, slim build, glass body
- Features:
  - 128GB/256GB storage
  - Triple camera setup
  - OLED display
  - Face ID / Fingerprint scanner
  - Fast charging
- Packaging: Stylish box with accessories
- Quality: Premium feel, smooth performance

Example: Product Breakdown for a Mobile Phone

- **3. Augmented Product**
- Extra services and support that **add value** to the actual product.
- ✓ **Warranty & repair service** (1–2 years)
- ✓ **Customer support** (online & in-store help)
- ✓ **Accessories** (free cable, charger, earphones)
- ✓ **Software updates**
- ✓ **Cloud backup services**
- ✓ **Trade-in offers or installment payment plans**
- ✓ **Store experience or app-based help (e.g., Apple Support app)**

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Module 88

New Product Development (NPD)

- **New Product Development (NPD)** is the complete process of bringing a new product — either a brand-new idea or an improvement of an existing product — to the market.
- It involves everything from generating an idea to launching the product and analyzing its performance.

Why New Product Development Is Important

- ✓ Keeps the business competitive
  ✓ Responds to changing customer needs
  ✓ Opens new revenue streams
  ✓ Fights product decline in the Product Life Cycle

7 Stages of New Product Development

Stage	Description
1. Idea Generation	Brainstorming new product ideas from customers, employees, competitors, R&D
2. Idea Screening	Evaluating and filtering ideas based on feasibility, cost, market potential
3. Concept Development & Testing	Developing detailed product concepts and testing them with target customers
4. Business Analysis	Estimating costs, sales, profits, and return on investment (ROI)
5. Product Development	Turning the idea into a working prototype or actual product
6. Test Marketing	Launching the product in a limited market to gather feedback and make improvements
7. Commercialization	Full-scale product launch with marketing, distribution, and sales strategies

Example: New Product Development for a Mobile App

- **Idea Generation:** An app that finds nearby parking spots in real time
- **Idea Screening:** Is it possible? Are enough people interested?
- **Concept Testing:** Surveys, app mockups shown to potential users
- **Business Analysis:** Projected revenue through subscriptions and ads
- **Product Development:** Develop app with GPS + user feedback features
- **Test Marketing:** Launch only in Lahore to test user response
- **Commercialization:** Nationwide release with influencer promotion and digital ads

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Module 89

Top Reasons for New Product Failures

Reason	Explanation	Example
1. Poor Market Research	Product doesn’t meet real customer needs or solve a real problem	A phone with features no one wants
2. No Market Demand	There's little or no actual need for the product	Google Glass — advanced but not needed by most
3. Pricing Issues	Too expensive, too cheap, or poor value	A product priced high but with limited features
4. Weak Product Design or Quality	Product breaks, malfunctions, or fails to meet expectations	Samsung Galaxy Note 7 (battery explosion issue)
5. Ineffective Marketing	Target audience is not reached or not convinced	A great product with poor promotion and ads

Top Reasons for New Product Failures

6. Bad Timing	Product launched too early, too late, or during poor market conditions	Releasing a party app during COVID lockdowns
7. Strong Competition	Better alternatives already exist in the market	New soda brand vs Coca-Cola
8. Poor Distribution	Limited availability or hard to buy	App not available on common app stores
9. Lack of Differentiation	No unique selling point (USP); it looks like every other product	A new energy drink that tastes and looks like Red Bull
10. Internal Issues	Poor coordination between teams, delays, budget overrun	Confused roles in the product team causing missed deadlines

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Module 90

The Product Life Cycle (PLC)

- The **Product Life Cycle** explains the **stages a product goes through** from the time it is launched in the market until it is withdrawn. Each stage presents different challenges and opportunities for marketers.

The 4 Main Stages of the Product Life Cycle

Stage	What Happens	Marketing Focus
1. Introduction	Product is launched; sales are low; costs are high	Create awareness, attract early adopters, heavy promotion
2. Growth	Sales increase rapidly; profits rise	Improve product, expand market, deal with competition
3. Maturity	Sales peak; market becomes saturated	Differentiate product, maintain brand loyalty, offer discounts
4. Decline	Sales and profits fall	Decide: discontinue, update, or reposition the product

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Module 91

Products of the Digital Age

- The **Digital Age** (also called the Information Age) is defined by the rapid shift from traditional industries to an economy based on **information technology, data, and digital tools**. This era has produced a wide range of new products and services that are tech-driven, interconnected, and smart.

Products of the Digital Age

- The **Digital Age** (also called the Information Age) is defined by the rapid shift from traditional industries to an economy based on **information technology, data, and digital tools**. This era has produced a wide range of new products and services that are tech-driven, interconnected, and smart.
- Products of the digital age are:
- **Connected**
- **Convenient**
- **Data-driven**
- **Cloud-based**
- **Customer-centered**

1. **Digital Devices**

Product Type	Examples
Smartphones	iPhone, Samsung Galaxy, Google Pixel
Tablets	iPad, Samsung Tab
Laptops/PCs	MacBook, Dell XPS, Lenovo ThinkPad
Smartwatches	Apple Watch, Fitbit, Samsung Galaxy Watch
Smart TVs	LG Smart TV, Sony Bravia

2. **Software & Apps**

Product Type	Examples
Operating Systems	Windows, macOS, Android, iOS
Productivity Apps	Microsoft Office, Google Workspace
Social Media Apps	Facebook, Instagram, TikTok, Snapchat
Streaming Apps	Netflix, YouTube, Spotify, Prime Video
AI Tools	ChatGPT, Grammarly, Midjourney, DALL·E

3. Digital Services

Type	Examples
Cloud Storage	Google Drive, Dropbox, iCloud
E-Commerce	Amazon, Daraz, Shopify
Online Banking	PayPal, Easypaisa, JazzCash
Online Education	Coursera, Udemy, Khan Academy
Digital Health	Health apps, telemedicine platforms

4. **Smart & IoT Products (Internet of Things)**

Product Type	Examples
Smart Home Devices	Alexa, Google Nest, Smart bulbs
Wearables	Fitness bands, smart glasses
Connected Appliances	Smart fridges, robotic vacuums

5. **Virtual & Immersive Products**

Product Type	Examples
VR Headsets	Meta Quest, HTC Vive
AR Devices	Microsoft HoloLens
Gaming Platforms	PlayStation 5, Xbox Series X, Steam
Metaverse Platforms	Roblox, Decentraland, Fortnite

6. **Digital Content Products**

Type	Examples
E-books & Audiobooks	Kindle, Audible
Online Games	PUBG, Minecraft, Call of Duty Mobile
NFTs & Digital Art	Art blocks, OpenSea marketplace
Online Courses	Skillshare, edX

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Theme 6

Marketing a Business

Module 92

Brands and Branding in Marketing

- **1. What is a Brand?**
  A **brand** is more than just a name or logo — it's the **perception** and **emotional connection** consumers have with a company, product, or service. It represents the **identity**, **values**, and **promise** a business makes to its customers.
- Examples:
- Apple: Innovation and sleek design
- Nike: Athleticism and motivation ("Just Do It")
- Coca-Cola: Happiness and togetherness

What is Branding?

- **Branding** is the process of **creating, developing, and managing** a brand. It includes everything from the **visual identity** (logos, colors, design) to the **tone of voice**, **customer experience**, and **reputation**.
- Branding is how a business **differentiates** itself from competitors and builds **loyalty**.

Key Elements of Branding

Element	Description
Brand Name	The name by which the product or service is known
Logo and Design	Visual symbols that represent the brand
Tagline/Slogan	A short, catchy phrase expressing the brand's message
Brand Personality	Human characteristics attributed to the brand
Brand Voice	Style and tone used in communication
Brand Values	Core beliefs and principles of the brand

Importance of Branding in Marketing

- **Differentiation** – Sets your business apart from the competition.
- **Customer Recognition** – Familiar brands are more likely to be chosen.
- **Trust and Loyalty** – A strong brand builds credibility and encourages repeat purchases.
- **Emotional Connection** – People connect with brands that share their values.
- **Premium Pricing** – Strong brands can charge higher prices (e.g., Apple, Rolex).
- **Brand Equity** – The value a brand adds to a product beyond its functional benefits.

Types of Brands

- **Corporate Brand** – Overall brand of a company (e.g., Google, Samsung)
- **Product Brand** – Branding focused on a specific product (e.g., Tide, iPhone)
- **Service Brand** – Intangible services (e.g., Uber, Airbnb)
- **Personal Brand** – Individuals as brands (e.g., Elon Musk, Oprah)

Branding Strategies

Strategy	Description
Individual Branding	Each product has its own identity (e.g., Unilever's Dove, Axe)
Family Branding	Products under one brand name (e.g., Sony TVs, Sony Cameras)
Co-Branding	Two brands collaborate (e.g., Nike + Apple watch)
Brand Extension	Using an existing brand to launch new products (e.g., Colgate toothpaste → toothbrush)
Rebranding	Changing brand identity (logo, name, positioning)

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Price & Pricing Strategies

- **Price** is the amount of **money a customer pays** to purchase a product or service. It represents the **exchange value** between the buyer and the seller.
- Pricing strategy refers to the method a business uses to determine the **best price** for its products or services. It balances **costs**, **competition**, **value perception**, and **market demand**.

Major Pricing Methods

Method	Description	Example
Cost-Based Pricing	Price = Cost + Profit margin	Manufacturer adds 20% profit on cost
Value-Based Pricing	Based on perceived value to the customer	Apple pricing iPhones based on value
Competition-Based Pricing	Set price based on competitor prices	Airlines, telecom companies

Major Pricing Methods

Strategy	Description	Example
Penetration Pricing	Low price to enter market and gain share	Netflix’s early pricing model
Skimming Pricing	High initial price, then lowered over time	New tech like Samsung Galaxy phones
Psychological Pricing	Using pricing tricks to influence perception	$9.99 instead of $10
Premium Pricing	High price to reinforce luxury or quality image	Rolex watches

Major Pricing Methods

Strategy	Description	Example
Bundle Pricing	Selling products together at a reduced price	Fast food combos, software bundles
Freemium Pricing	Basic product free, premium version paid	Spotify, Canva
Dynamic Pricing	Prices change based on demand, time, or customer	Uber, airline tickets
Geographic Pricing	Prices vary by region, city, or country	Multinational pricing strategies
Optional Product Pricing	Core product + optional extras	Cars with add-ons

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Future Trends in Pricing

- **1. AI-Powered Dynamic Pricing**
- **Real-time adjustments** using AI and big data based on demand, behavior, or competitor changes.
- Example: Amazon changes product prices multiple times daily.
- **2. Subscription-Based Models**
- More businesses shifting to **monthly/annual subscriptions**.
- Example: Adobe Creative Cloud, Netflix, even coffee delivery services.
- **3. Personalized Pricing**
- Pricing tailored to **individual customers** using purchase history or browsing behavior.
- Can increase revenue but may raise ethical concerns.

Future Trends in Pricing

- **4. Value-Driven Pricing**
- Consumers now focus on **sustainability**, **ethics**, and **brand values**.
- Brands may charge more for **eco-friendly**, **ethical**, or **local** products.
- **5. Decoy Pricing Strategy**
- Introducing a **mid-tier option** to make premium options look more appealing.
- Common in **online plans** (Basic – Standard – Premium).

Future Trends in Pricing

- **6. Freemium to Premium Upsells**
- Giving free access to basic features and then nudging toward **premium features**.
- Dominant in **apps, software, and digital services**.
- **7. Cryptocurrency and New Payment Models**
- Brands may start accepting **Bitcoin or other crypto** as pricing models and **loyalty points** evolve.
- **Conclusion**
- Pricing is not just about covering costs — it's about **communicating value**, **competing smartly**, and **adapting to changing customer behavior and technology**. Future success will come from being flexible, data-driven, and customer-centric in pricing decisions.

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Module 95

The Nature and Functions of Distribution (Place) in Marketing

- **"Place"** or **Distribution** is one of the **4 Ps** in the **Marketing Mix** (Product, Price, Place, Promotion). It focuses on how a product gets from the **manufacturer** to the **final customer** — in the **right place**, at the **right time**, and in the **right quantity**.

Nature of Distribution (Place)

- Distribution is about the **movement of goods** and **services** from producer to consumer. It includes:
- **Channels** of distribution (wholesalers, retailers, etc.)
- **Logistics** (warehousing, transportation)
- **Market accessibility** (online or offline)
- It answers:
- "How will the customer get the product?"

Types of Distribution Channels

- **1. Direct Distribution**
- No middlemen; producer sells directly to the consumer.
- **Examples:** E-commerce websites, factory outlets, D2C brands
- **2. Indirect Distribution**
- Uses intermediaries like wholesalers, distributors, and retailers.
- **Examples:** FMCG products (e.g., Nestlé → Distributor → Retailer → Customer)

Channel Levels

Level	Description	Example
Zero	Producer → Consumer	A bakery selling directly to buyers
One	Producer → Retailer → Consumer	Nike → Store → Buyer
Two	Producer → Wholesaler → Retailer → Consumer	Unilever → Distributor → Shop → You

Functions of Distribution (Place)

Function	Explanation
1. Transportation	Moving goods from one location to another
2. Warehousing	Safe storage of goods until they are needed
3. Inventory Management	Balancing product availability with customer demand
4. Order Fulfillment	Processing, packaging, and delivering customer orders

Functions of Distribution (Place)

Function	Explanation
5. Market Coverage	Ensuring the product is available where customers are
6. Customer Convenience	Making it easy for customers to access the product
7. Cost Efficiency	Minimizing delivery and storage costs
8. Information Flow	Channel members share market feedback with manufacturers

Modern Trends in Distribution

Trend	Description
E-commerce	Direct-to-consumer via online platforms
Omnichannel Distribution	Combining online, offline, and mobile channels
Drop Shipping	Seller transfers orders directly to supplier
Smart Warehousing	Automated, tech-driven storage and fulfillment
Sustainable Logistics	Eco-friendly packaging and delivery

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Module 96

Promotion Strategy in Marketing

- A **Promotion Strategy** is a plan to **communicate**, **inform**, and **persuade** target customers about a product or service — with the goal of **boosting awareness, generating interest, and increasing sales**.
- It is a key component of the **Marketing Mix (4 Ps)** — and answers the question:
- **"How will we get people to know about and want our product?"**

Objectives of a Promotion Strategy

- **Create awareness** of the product or brand
- **Inform** customers about features, benefits, or prices
- **Persuade** them to try or choose your product over competitors
- **Remind** existing customers to stay loyal or make repeat purchases
- **Drive sales** and improve brand positioning

Elements of the Promotional Mix

Element	Description	Example
Advertising	Paid, non-personal messages via mass media	TV ads, YouTube, billboards
Personal Selling	Face-to-face or direct sales communication	Sales reps at car showrooms
Sales Promotion	Short-term incentives to encourage purchase	Discounts, coupons, buy-one-get-one
Public Relations (PR)	Managing public image and media coverage	Press releases, sponsorships
Direct Marketing	Targeted messages to specific individuals or groups	Emails, SMS, catalogues
Digital/Online Marketing	Internet-based promotions using digital platforms	Social media, influencer marketing

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Steps to Develop a Promotion Strategy

- **Identify Target Audience**
- Who are you trying to reach? (age, gender, lifestyle, location)
- **Set Promotion Objectives**
- Awareness, interest, trial, purchase, or loyalty?
- **Decide on the Message**
- What should people remember about your brand?

Steps to Develop a Promotion Strategy

- **Choose the Promotion Tools**
- Advertising, social media, sales promotions, etc.
- **Select Media Channels**
- Online? TV? Radio? Influencers?
- **Set Budget**
- How much can you invest? (Fixed or percentage of sales?)
- **Measure Effectiveness**
- Use KPIs like reach, engagement, conversion rates, sales uplift.

Modern Trends in Promotion

- 📱 **Influencer Marketing**
- 🤖 **AI-driven ads and personalization**
- 🔄 **Interactive content** (polls, quizzes, AR filters)
- 🌱 **Cause-based marketing** (supporting social or environmental issues)
- 🎯 **Retargeting ads** based on user behavior

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Module 98

Trends in Social Media

- Social media is constantly evolving, shaped by **technology**, **user behavior**, and **business needs**. In 2025, it's more **interactive**, **AI-driven**, and **community-focused** than ever before.

Top Trends in Social Media

- **1. Short-Form Video Dominance**
- Platforms like **TikTok, Instagram Reels, and YouTube Shorts** are leading.
- Users prefer **quick, engaging, and scrollable** content.
- Brands are focusing on **storytelling in 30 seconds or less**.
- **2. AI-Generated Content**
- AI tools like **ChatGPT**, **Midjourney**, and others help create posts, captions, images, and even videos.
- Creators and marketers use AI to boost productivity and stay on trend.

Top Trends in Social Media

- **3. Social Commerce**
- Shopping directly within apps (Instagram, TikTok, Facebook Shops).
- Influencer-led product demos and reviews drive conversions.
- Seamless "browse → click → buy" experience without leaving the app.
- **4. Influencer & Creator Economy Expansion**
- Micro and nano-influencers (1K–50K followers) are gaining popularity due to **authentic engagement**.
- More creators are launching **personal brands, courses, and digital products**.

Top Trends in Social Media

- **5. Authenticity Over Perfection**
- Raw, real, and relatable content is outperforming polished, edited posts.
- BeReal-style “real life” moments are growing in appeal.
- **6. AI-Driven Personalization**
- Social feeds are hyper-personalized using AI.
- Users see more content **based on behavior** rather than just who they follow.
- **7. Private & Niche Communities**
- People are shifting from public platforms to **private groups**, **Discord servers**, and **close friends lists**.
- Community engagement is stronger than mass engagement.

Top Trends in Social Media

- **8. Augmented Reality (AR) Filters & Experiences**
- AR is used for **interactive ads**, **virtual try-ons**, and **face filters**.
- Brands use AR to make content more engaging and immersive.
- **9. Voice & Audio Content**
- Podcasts, voice tweets, and audio chatrooms (e.g., Twitter/X Spaces) continue to grow, especially for thought leadership and storytelling.
- **10. Sustainability & Social Impact Content**
- Users demand brands to be **transparent**, **ethical**, and **eco-friendly**.
- Social media is a tool for activism and value-driven branding.

Platform-Specific Trends

Platform	Notable Trends
Instagram	Reels > Photos, AI-recommended content, close friends
TikTok	Viral challenges, education ("edutainment"), shopping
YouTube	Shorts, long-form storytelling, creator monetization
Facebook	Groups, marketplace, older audiences
LinkedIn	Personal branding, content from professionals
X (Twitter)	Real-time news, controversial discussions, audio chats

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Module 99

Trends in E-Commerce

E-commerce in 2025 is **faster, smarter, more personalized**, and more deeply integrated into everyday life. Fueled by **AI, mobile technology, social media, and consumer demand**, it's reshaping how we **shop, sell, and deliver** goods and services.

Top Trends in E-Commerce

- **1. Mobile-First Shopping**
- Majority of online purchases are made via **smartphones**.
- Brands are optimizing **mobile apps**, payment systems, and websites for smooth mobile experiences.
- **One-click checkout** and **digital wallets** (Google Pay, Apple Pay, Easypaisa) dominate.
- **2. AI & Personalization**
- AI tailors the shopping experience by suggesting **products, offers, and content** based on your behavior.
- **Chatbots** provide 24/7 customer service and instant help.
- Personalization boosts **conversion rates and customer loyalty**.

Top Trends in E-Commerce

- **3. Social Commerce**
- Shoppers buy directly from **Instagram, TikTok, Facebook** and even YouTube.
- Influencers and creators are driving product discovery.
- Live-stream selling (like **TikTok Shop**) is popular in Asia and expanding globally.
- **4. Voice & Visual Search**
- Customers use **voice assistants** (like Alexa or Google Assistant) to shop hands-free.
- **Visual search** lets users upload images to find similar products.

Top Trends in E-Commerce

- **5. Sustainable E-Commerce**
- Consumers prefer brands with **eco-friendly packaging**, **carbon-neutral delivery**, and **ethical sourcing**.
- Green certifications and transparent supply chains matter.
- **6. Faster, Flexible Delivery**
- **Same-day or next-day delivery** is becoming the norm in cities.
- Options like **click & collect**, **pick-up lockers**, and **local delivery partners** are popular.
- **Drone and autonomous vehicle deliveries** are in testing phases.

Top Trends in E-Commerce

- **7. Buy Now, Pay Later (BNPL)**
- Payment flexibility is key. BNPL services like **Klarna**, **Afterpay**, or **local apps** let customers pay in installments.
- Attracts younger buyers who want to manage their cash flow.
- **8. Augmented Reality (AR) Shopping**
- Try products before you buy — virtually.
- AR lets you see how furniture looks in your room or how clothes fit on a digital avatar.